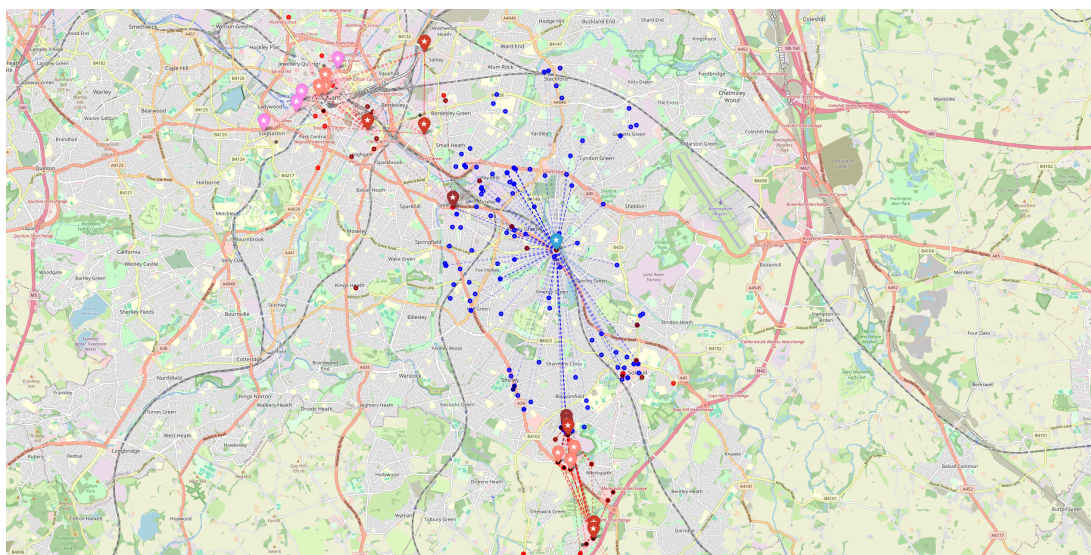


Estimating spatial firm productivity spillovers using UK microdata



Firms are spatially interconnected. But are they interconnected when it comes to economic productivity?

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DECLARATION

I, Aloysius Lip, hereby declare that the work presented in this dissertation is my own original work. Where information has been derived from other sources, I confirm that this has been clearly and fully identified and acknowledged. No part of this dissertation contains material previously submitted to the examiners of this or any other university, or any material previously submitted for any other assessment.

I declare the use of GenAI tools in an assistative role (UCL Category 2) for this submission. The model Gemini 3.10 Pro (Google DeepMind, 2026) was used for the limited roles of: supporting the particular process of reviewing and refactoring code (data analysis), and as a support tutor (economic model and empirical approach). The model Github Copilot (Microsoft, 2026) was used for the limited roles of: supporting the particular process of reviewing and refactoring code.

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Date: 2nd September, 2026

CLASSIFICATION

This piece of research is primarily:

- ☒ an empirical/econometric study
- ☐ the examination of a theoretical problem
- ☐ a critical analysis of a policy issue
- ☐ an analytical survey of empirical and/or theoretical literature

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ABSTRACT

I estimate the productivity spillover occurring between colocated firms in the United Kingdom. The productivity spillover, a spatial externality, underpins well-established economic phenomena around the development of urban clusters in the New Economic Geography literature, and is measured and heavily discussed in the evidence on the economic effects of urban density measured in the spatial econometrics literature, and underpinning regional growth policy.

I develop a 3-factor production model of Total Factor Productivity (TFP), capital, and labour. TFP in turn is influenced by spillovers of peer TFP, capital, and labour. I apply recently-developed econometric techniques for valid identification in peer effect group and network settings to comprehensive UK firm data from Fame. The key to valid identification rests in internal instruments from spatial *exogenous* effects in a static model, and from deep lags in a dynamic model: this overcomes Manski (1993)’s ‘Reflection Problem’ and the endogeneity of peer effects. It requires big data calculations of firm interactions, which I use modern data techniques to compute efficiently, preserving the advantages of Fame’s high-observation balance sheet data for both its panel structure and its resulting high-significant estimates.

Across my instrumented specifications, I evaluate a positive spatial spillover from the labour inputs of a peer firm of (0.4? Calculation is complicated), onto any given target firm’s productivity. I evaluate a milder positive spatial spillover from a larger accumulation of capital inputs from the peer firm. The implied spillover from any peer firm’s TFP to a target firm is negative, (implying that firms compete for local demand(?) and in any contemporaneous period, one neighbour’s success detracts from their peers). Contrasted with models assuming strict exogeneity across in all peer input decisions, which suggest only positive spillovers from peer factors to TFP, this suggests the need for caution in devising regional economic policy. Spillover effects are moderate and conditional, require peer firm to increase their factor inputs specifically. A multiplier effect via a continuous chain of firm-to-firm induced positive productivity shocks is less empirically supported.

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1. INTRODUCTION

Estimating the strength of a spatial productivity spillover is crucial to economic discussions on growth, production, and sophisticated specialised fields such as the movement of households and firms across urban clusters. In particular, a productivity spillover, as defined as an input to production, can be conceptualised as a pure supply-side effect. It is notoriously tricky⁵ to isolate this from demand-side factors in general equilibrium from the colocation of firms and people, local demand shocks, and even more so to isolate the pure spillover effect occurring through and on Total Factor Productivity (TFP) the residual to a firm’s input factors.

The purpose of this paper is to demonstrate that modern advances in computing, theory, and econometric techniques mean that it is possible to make significant progress in this decades-long problem even spanning from a stylised, classical model. I produce credible estimates of the supply-side spatial spillover factors influencing TFP, employing internal instruments in a static and dynamic setting. In section 2, I give an overview of contributions from spatial and urban economics and economic geography, New Economic Geography (NEG) revisions and how the findings in this paper might substantiate the assumptions underlying NEG, and modern econometric literature.

In sections 3 and 4, I discuss the handling of data from Fame, a database of publicly-available, balance-sheet data from UK companies, unified and designed to be comprehensive for research. Fame offers the realisation of 100,000’s of firms’ data across over 1 million firm-yearly observations. This is a blessing for robust econometric analysis, but a curse for scalable, recreatable data handling to handle both the computation of millions of datapoints and their transformations, and safely manage its memory flow. In particular, I highlight two significant data challenges for this setting: the architecture design around spatial data, including calculating distance-to-distance peers and forming the spatial weighting matrix $\mathbf{W}$, and the iterated application and evaluation of high indices of $\mathbf{W}$, ex: $\mathbf{W}^2$, $\mathbf{W}^k$, $(\mathbb{I} - \mathbf{W})$ as both transformations in reduced form and to calculate valid instruments. The use of a high-performance, column vector-based data system, *DuckDB* was critical in this analysis for these purposes. All code for this analysis is available publicly⁶.

In section 5, I give the econometric analysis of a static model with spatial peer effects, conceptualisable as ‘spatial lags’ of the classical regressors in a 3-factor production function. This is a complex materialisation of Manski (1993)’s

⁵ Qualitative discussions in Krugman (1998), Fujita and Krugman (2004)

⁶ <https://github.com/alloysiuslip/ucl-diss-ECON0079>

‘Reflection Problem’, meaning the identification of *endogenous* regressors requires careful treatment in a peer effects setting. I show that modern econometric theory in a network setting, as given in Bramoullé et al. (2009), can cleanly and intuitively apply to this firm productivity spillover problem. I estimate a reduced-form peer effects model under competing exogeneity assumption and internal instrumental variable approaches. I undertake this for both a ‘groups’ model, which argues that the strength of a productivity spillover is the average of nearby neighbours, and a ‘networks’ model, which applies a individualised weight for each target-peer firm connection proportionate to the reciprocal of the physical distance between them. (The distance model performs better under standard tests.)

In section 6, I expand the use of internal instruments to use deep lags to identify exogenous variation in the otherwise-endogenous peer effects regressors. This builds on modern ‘System GMM’ methods from Blundell and Bond (1998). These are popular approaches to efficiently estimate coefficients from endogenous variables in a dynamic system exploiting the time variation of the panel structure. These models are likely the most robust given in this analysis. They suggest a more limited effect of peer-target productivity spillover. All specifications so a zero effect of a lagged TFP-spillover, and autoregressive term with a very narrow confidence interval, suggesting a robust result that if any productivity spillover does occur between firms, it happens in the contemporaneous period.

1.1. CONTRIBUTIONS FROM SPATIAL PRODUCTIVITY ANALYSIS TO POLITICAL ECONOMY

A revival of interest in regional, pro-second city policy has also taken place in the policies of the 2024 and 2026 governments in the United Kingdom. Regional economic policy declined strongly in the UK under the 1980s Thatcher government... This consensus was maintained throughout the 1990s-2000s New Labour period, where rapid economic growth known as ‘The Great Moderation’ provided no impetus for change. The consensus was broken in 2017, with the seeds of a regional-industrial strategy in 2017, emerging under the Conservative May government. Under the background of a UK-EU Referendum result (“Brexit”) which emphasised the sentiment of disaffection among ‘left-behind’ places across the UK which did not see the benefits of national aggregates of economic growth primarily concentrated in the UK’s capital, London. The national government launched ‘Local Industrial Strategies’ which sought to identify action to "boost productivity, earning power, and competitiveness" on a regional basis⁷. However, fewer of these strategies were fully developed and implemented by 2021. In 2026,

⁷ <https://researchbriefings.files.parliament.uk/documents/CBP-7682/CBP-7682.pdf>

the newly appointed Burnham government made the pledge for “good growth in every postcode” (...)

2. LITERATURE

2.1. (AGGLOMERATION AND MARSHALL)

It has been common to analyses of economic growth since Marshall (1920) to assume and qualitatively discuss some effect on firm-to-firm spillover of productivity. A productivity spillover underpins well-established economic phenomena such as the colocation of firms in urban clusters described in New Economic Geography literature such as Krugman (1991). It has been heavily analysed through industry and spatial density approaches in spatial and urban econometric literature such as Glaeser et al. (1992).

My investigation is rooted in Marshall (1920)'s taxonomy, which identifies three channels to productivity spillovers: (1) input-output costs, (2) labour pooling, and (3) knowledge spillovers. There is no reason to think these are exhaustive. We might theorise that there may be competitive effects and cultural factors. Krugman (1991) also labels all these channels as 'centripetal' to an urban core; there are likewise 'centrifugal' factors that push firms away from the urban core, such as destructive (zero-sum) competition, congestion, and saturation costs. A further extension could develop models on these further channels and empirically test them. Furthermore, these productivity spillovers are incredibly salient to thinking about production structures.

In this investigation, I concentrate on (3) knowledge spillovers, tackling a difficult identification problem highlighted in Glaeser (2001). This is more relevant to the knowledge-based services economy that dominates the UK. Input-output costs and labour-pooling matter more for industrial manufacturing firms, especially the latter which was devised in response to the phenomenon emergence of industry towns.

Most agglomeration literature bundles all three channels together. Glaeser (2010) and Krugman (2010) identify how vital identifying knowledge spillovers are. That need to estimate them well only grows with the modern, knowledge economy of the UK. (Goldin, 2023) speculates that agglomeration effects have "increasing strength" attributable to the way in which "knowledge workers in particular become more productive when located near to one another. Information may be more available thanever, but the evidence suggests that it still tends to flow largely through in-person networks".

2.2. (NEW ECONOMIC GEOGRAPHY)

However, Krugman (1991) prefers not to assume this effect in their focus on the dynamic movement of firms. Instead, heterogenous cluster policies, such as initial external differences in the number of workers or firms are frequently assumed,

with ‘forward and backward linkages’ driving colocation endogenously from there. This paper helpfully tests the presence of spillovers, providing another centrifugal force directly incentivising firms to colocate.

2.3. (MODERN APPROACHES)

Specific approaches to investigating knowledge spillovers via innovation, instrumenting via patent publications comes from US evidence, including (Jaffe, 1993), (Berkes and Ruben, 2021) and more recently ?.

Knowledge spillovers have been a well-evidence factor of within-firm managerial-derived productivity gains. A field-starting MIT study from Allen (1977) observed an exponentially declining curve depicting the frequency of communication between two individuals against their physical distance in an office.

2.4. PEER EFFECTS ECONOMETRICS

The Manski (1993) model is a common baseline in literature on peer effects. It provides helpful structure to the study of joint behaviour of individuals who are members of a group or network, and can be applied to any examination of units with peers such as individuals, not merely firms.

$$y_i = c + \underbrace{\alpha_g}_{\text{correlated effect}} + \beta x_{i,g} + \underbrace{\delta \bar{y}_{-i,g}}_{\text{endogenous effect}} + \underbrace{\xi \bar{x}_{-i,g}}_{\text{exogenous effect}} + \varepsilon_i$$

The model firstly decomposes spillovers to a direct behavioural, or *endogenous* effect, $y_j \rightarrow y_i$, where the outcome of interest among peers affects that of the target individual. The regressor can represent the co-movement of a group mean, such as all firms in a nearby area simultaneously acting in a similar, coordinated or non-coordinated, fashion, such as if all peer firms choose to simultaneously adopt a new technology available. The target member of the group or network may then observe peers and choose to mimic that behaviour. It may also represent a ‘disruptor’ effect, such that one peer within the group instigates a new pattern of behaviour differing from all others, which is then emulated by the target firms which hold it as a peer. This is mechanically observed as a small shift to the peer group average and interpreted as a diluted effect on any one target member of the cohort. Robust applications of the Manski model demonstrate credible approaches to measuring the *endogenous effect*. Damm and Dustmann (2014) analyses movers to new neighbourhoods among individuals through the ‘Danish Dispersal Policy’ of refugee arrivals (1986-1998). Raj Chetty and Nathaniel Hendren and Lawrence F. Katz (2016) measures a similar effect among high-poverty children through the US 1990’s ‘Moving to Opportunity’ scheme. These studies exploit quasi-randomness

in the location assignment of individuals and peers for robust identification. As discussed in section 4.1, the dataset used for this analysis unfortunately offers no such granularity of features to identify movers, let alone evaluating the exogeneity of their colocation. Nevertheless, the use of firm data for analysis allows for the use of firm fixed effects and a more rich set dataset of firm characteristics to control for endogenous variation to a firm's location decision, which additionally tends to be reasonably sticky.

Additionally, the Manski (1993) model requires contextual or *exogenous* effects, of which the variation of non-outcome of interest variables among peers also directly affects that of the target individual, $x_j \rightarrow y_i$. This brings sophistication to the nature of peer spillovers. A simplified model only allowing endogenous effects through the variable of interest, $y_j \rightarrow y_i$ is nested within this structural model, but not identified due to the 'Reflection Problem' and as described in this analysis in section 5.1. In this analysis' firm productivity model, the *exogenous effect* allows for an additional level of input factor capital and labour to induce higher target TFP, better management practices or more efficient combination of factor inputs, perhaps from observing the mere high level of these factors in their peers, without the peers themselves necessarily experiencing a productivity increase. It is additionally a common specification requirement for every individual to have an own-effect of exogenous characteristics, $x_i \rightarrow y_i$, which corresponds to the standard production function model in this analysis of $k_{i,t}, l_{i,t} \rightarrow y_{i,t}$.

$$\begin{aligned}
y_{i,g} &= c + \alpha_g + \beta x_{i,g} + \delta \bar{y}_{-i,g} + \xi \bar{x}_{-i,g} + \varepsilon_i \\
\bar{y}_g &= c + \alpha_g + \beta \bar{x}_g + \delta \bar{y}_g + \xi \bar{x}_g + \bar{\varepsilon}_g \\
(1 - \delta) \bar{y}_g &= c + \alpha_g + (\beta + \xi) \bar{x}_g + \bar{\varepsilon}_g \\
\bar{y}_g &= \frac{c + \alpha_g}{1 - \delta} + \frac{\beta + \xi}{1 - \delta} \bar{x}_g + \frac{\bar{\varepsilon}_g}{1 - \delta} = \bar{y}_{-i,g} \quad (\text{large } g \text{ assumption}) \\
y_{i,g} &= \frac{c + \alpha_g}{1 - \delta} + \beta x_i + \frac{\xi + \delta \beta}{1 - \delta} \bar{x}_{-i} + \frac{\delta}{1 - \delta} \bar{\varepsilon}_g + \varepsilon_i \quad (\text{substituting}) \\
y_{i,g} &= \alpha_g + \pi_0 + \pi_1 x_i + \pi_2 \bar{x}_{-i} + v_g
\end{aligned}$$

The focus of Manski (1993)'s linear-in-means (LMM) contribution is to highlight the 'Reflection Problem', an econometric trap. The derivation give above shows that the initial structural equation cannot be estimated directly with OLS due to the endogeneity of $\bar{y}_{-i,g} : \mathbb{E}[\bar{y}_{-i,g} \varepsilon_i] \neq 0$. Transforming the equation to reduced form and omitting the endogenous regressor leads to underidentification: 3 parameter estimates yielded for 4 structural parameters. Causal variation in $y_{i,g}$ is unidentifiable as it is exactly collinear with all the other regressors. This underidentification is a famous one, hindering analysis of peer dynamics including

via spatial interaction.

A key solution to this is the deployment of instruments, $z_{-i} \propto \bar{y}_{-i} \cap z_{-i} \not\propto y_i$. An application employing credibly exogenous instruments for a peer effects measure in an individual crime setting is given in Dustmann et al. (2024). This study uses the sex-identity at birth of newborns as a valid instrument for the criminal behaviour of their babyfather gang-leaders, who serve as an influential peer on the target members of their gangs respectively. The equivalent valid instrument in this analysis which is correlated with the peer effect but has no direct effect on the target outcome of interest is an additional spatial lag of *exogenous* regressors in the static model. This means the capital and labour of a firm k who is a ‘peers of peers’: a peer of firm j , but not of firm i , the last of which is the target firm of interest. In this analysis’ dynamic model, deep temporal lags $y_{-i,t-2} \propto y_{-i,t} \cap y_{-i,t-2} \not\propto y_{i,t}$ are also as a valid instrument under an assumption of weak exogeneity of predetermined regressors.

A modern paper, Bramoullé et al. (2009), explores of different identification techniques and their rules for validity for group and network structures. These structures are more complex than the Manski (1993) model, which by using the analysis of means $\bar{y}_{-i,g}$, implicitly assumes simple, ‘leave-on-in’ group averages as the peer *endogenous* regressor. An immediate realistic fix for spatial peer effects, to exclude the target observation $y_{i,g}$ from calculation of the group mean y_g is helpful as given in Moffitt and Caspi (2001). This should be conceptualised less as a ‘neighbourhood effect’, for which the target is still a contributor, but more as a collection of influencing peers. Nevertheless, this alone does not offer identification.

The paper exploits many complex interaction structures summarised by the weighting matrix $\mathbf{W}$, the more complex n -dimensional matrix of interactions between firms rather than a simple average weight approach. In short, it continues to assume exogenous assignment of spatial assignments and so target-peer interactions; and finds that properties of varying group sizes (s_g) and network diameters (s_d) are key to discovering valid spatial lag instruments. Fortunately, these complex structures resemble realistic interactions common to empirical data, and are applicable to this analysis’ pattern and layout of firm interactions. The definition of group is intuitive: peers interact in a fixed limit of nearby firms, where each peer within the group is treated as homogenous, offering an equal weighted value, here $1/(s_g - 1)$. A network is a more complex set of interactions where each individual i has their own set of peers by whom they are influenced. Bramoullé et al. (2009) tends to assume that the influence of each individual’s peer set is still the simple ‘leave-on-out’ average of their heterogenous peers, but differing weights applied within the peer set are also equivalently permissible, as I

TABLE I
Spatial econometric identification rules for weighting matrix W

Structure	Required condition	Identified	Instrument
<i>Group structure</i>			
Proposition 2	$\xi_0 - \delta_0\beta_1 \neq 0$ and $\zeta_0 - \delta_0\beta_2 \neq 0$		
Linear-in-Means ^a	Target is own peer	X	—
Leave-one-out ^b	Target excluded from peer mean	X	—
	Same group size		
Varying group sizes ^c	Target excluded from peer mean ≥ 2 group sizes	✓	$\mathbf{W}^2x$
<i>Network structure</i>			
Proposition 1	$\mathbb{I}, \mathbf{W}, \mathbf{W}^2$ linearly independent $\beta\theta_0 + \xi_0 \neq 0$	✓	$\mathbf{W}^2x$
Intransitive triad	$\exists i, j, k : \mathbf{W}_{ij} \neq 0, \mathbf{W}_{jk} \neq 0, \mathbf{W}_{ik} = 0$	✓	$\mathbf{W}^2x$
Deep network	$s_d \geq 2$ network diameter	✓	$\mathbf{W}^2x$
<i>Adding correlated effects</i>			
Proposition 4	$\mathbb{I}, \mathbf{W}, \mathbf{W}^2, \mathbf{W}^3$ linearly independent $\xi_0 - \delta_0\beta_1 \neq 0$ and $\zeta_0 - \delta_0\beta_2 \neq 0$	✓	$(\mathbb{I} - \mathbf{W})\mathbf{W}^2x$
Group structure	$s_g \geq 3$ group sizes	✓	$(\mathbb{I} - \mathbf{V})\mathbf{W}^2x$
Network structure	$s_d \geq 3$ network diameter	✓	$(\mathbb{I} - \mathbf{V})\mathbf{W}^2x$

Adapted from Bramoullé et al., 2009 with notation revised and omissions to improve relevance to this analysis. (a) Manski, 1993, in this model $\mathbf{W}^2 = \mathbf{W}$ for linear dependence. (b) Moffitt and Caspi, 2001, in this model, $\mathbf{W}^2 = \frac{1}{s-1}\mathbb{I} + \frac{s-2}{s-1}\mathbf{W}$ for linear dependence. (c) Lee, 2007. Structures under a **Proposition** header must follow the **Proposition**'s required conditions.

apply in this analysis in section 5.3. A network is then the total set of individuals who have at least one interaction within the network:

$$j \in N_d \iff \mathbf{W}_{ij} \neq 0, \exists i \in N_d$$

There can exist several networks within a $\mathbf{W}$ interactions matrix, as certain individuals within a peer set may have these complex interactions, but all inside the set have nothing with those outside. Organising these networks in a $\mathbf{W}_d$ gives an outer block-diagonal structure, but with far larger blocks than $\mathbf{W}_g$. In section 4.3, this analysis uses Travel-to-Work-Areas (*ttwa*) to define the limits of a network, and spatial distance between two firms as the key to an interaction weight within a network.

The identification rules from Bramoullé et al. (2009) are included in Table I. In short, once certain necessary conditions for the group and network structures are met, an additional spatial lag on the *exogenous* regressors, $\mathbf{W}^2x$, tends to be a valid instrument. This analysis uses Table I's approaches to instruments to strip out the endogeneity of a spatial peer effects model.

3. FINANCIAL DATA

3.1. FAME

I have used data from Fame for this investigation. Fame is a comprehensive database of the financial balance sheet from UK firms. It contains useful variables for this analysis, in particular, number of employees and aggregates which can be summed to calculate *GVA*. Fame is provided by Moody’s Analytics, an international credit agency, and collects its data from UK firms via survey⁸.

Its international counterpart, Orbis, offers a similar service for international counterparts. This analysis could therefore be extended to offer insights comparing the spillover effects of UK firms to their international counterparts. For this investigation, the UK dataset is comprehensive and the most policy-relevant for this investigation.

3.2. INGESTION AND CLEANING

I wrote a series of Python scripts⁹, organised in Jupyter notebooks, to ingest and manipulate Fame data. Data was stored in *DuckDB*, an open-source, MIT-licensed relational (SQL) database architecture¹⁰. It operates locally, meaning minimal lag from issuance to execution time provided the operating machine is sufficiently high-compute, and stores data in column vectors, which is a significant advantage to manipulating whole variables. A notable use-case is the application of $(n \times n)$ Matrix transformations to a variable n -length column vector, as is required to calculate distance-weighted averages. Any SQL commands issued from the Python are compiled down to C, making execution for column transformation operations extremely fast, even for joining tables of several 100s of millions of rows¹¹, as is calculated in this analysis for target-peer spatial distances. I wrote database interaction commands using *Ibis*, an Apache-2.0 licensed Object-Relational Mapping (ORM) framework which allows SQL commands to be written natively in Python¹², minimising the likelihood of errors when issuing queries loops or changing variable names. This architecture choice is extremely well-suited for mass data econometric analysis and critical to solving the compute limitations of iterative large- n dataset manipulations required to calculate the valid instruments identified in section 5.1.

Over 100 Gb of raw data was accessed and downloaded from Fame in February 2025 by Professor Lars Nesheim for Irastorza-Fadrique et al. (2026) and reused

⁸ Moody’s Analytics (2025)

⁹ <https://github.com/alloysiuslip/ucl-diss-ECON0079>

¹⁰ Mark Raasveldt and Hannes Muehleisen (2026)

¹¹ Explanatory numbers given in this section are rounded to 3 significant figures for ease

¹² The Ibis Project Authors (2026)

for this project. Raw data are distributed across a series of Excel files on balance sheet indicators, including time-invariant characteristics for each firm, bucketed into *a1_ID* and *a5_misc* files, and annual data published on a calendar-year basis, bucketed into *a2_key_finance*, *a3_assets*, and *a4_profits* tables.

I traversed the file structure to build a dictionary to the filepaths organised in their subfolders, which are named by the 2-digit industry SIC division, and batch-imported data belonging to the firms in that industry. Some industries have prodigious registered firms, such as SIC division 47 (Retail Trade, 1090 files) and 82 (Office administrative, office support and other business support activities, 1065 files)¹³. I imposed a batch limit of 200 for stable memory handling, splitting up these large industries, and used Python’s asynchronous *concurrent.futures* package to execute the ingestion of each batch, exploiting multithreaded processing. In total, 12,800 files were processed across the 88 available SIC divisions. Time-invariant firm characteristics were saved to a table named *fixed*, annual firm data to a table named *yearly* within *DuckDB*.

All firm data are tagged with a *registered_number* property corresponding to a Companies House ID. I deduplicated 896,000 *fixed* firm entries using a *registered_number* match, of which the vast majority were exact duplicate entries and the remainder had some mismatch of 1 or more firm characteristics, such as the listed company name, global operating owner, and in rare cases, location. Duplicate entries are an undesirable feature of the Fame dataset, worsened by Fame’s construction from snapshots of reported firm data across timepoints, where resolution of conflicting *fixed* data may be imperfect. Fame also contains data impute errors, meaning variations in names referring to the same entity. When duplicates occurred, I effectively randomly chose an entry to keep. A more robust analysis could devise further data science methods, such a deployment of an acceptable Levenshtein distance to resolve differing name entries, or separately treating firms with multiple listed addresses. Further data cleaning procedures are discussed in Irastorza-Fadrique et al. (2026), notably these include avoiding double-counting of firms through both their parent company and subsidiaries, truncation of data to at earliest 2010 due to changes in reporting standards, and reclassification of firm SIC codes using NLP on firm business activity descriptions.

As the main analysis here only uses location data as the *fixed* characteristic of analysis, due to its time constraints, and due to the low number of duplicates and other cleaning errors listed above relative to the size of the dataset, I treat those errors as random effects and deem the impact of the random selection strategy minimal. I similarly removed duplicate firm-year entries in the *yearly*

¹³ Office for National Statistics (2026d)

data, and merged the two tables based on ensuring every *fixed* firm identity had a corresponding *yearly* set of rows, and vice versa. For efficiency, I adopted a ‘max-merge’ column strategy, which is effective for resolving entries which are zero and non-zero in conflicting duplicates. This however means that any two observations with conflicting non-zero values keep the large value. If it is random errors causing Fame to have these conflicting, duplicate values, this strategy has the potential to bias all financial data entries upwards, however this bias is unlikely to be correlated with any of this investigation’s variables of interest. I further removed a small minority (<200) firm entries not based in the UK, which can be identified through their *registered_number* format. In total, deduplication reduced the number of firms from 9,280,000 to 8,220,000, and the number of panel observations from 44,900,000 to 42,900,000.

I restrict the sample to observations with fewer than 10 employees, and drop any observation from the *yearly* data missing *renumeration_employees* and

FIGURE I
Panel observation availability by year

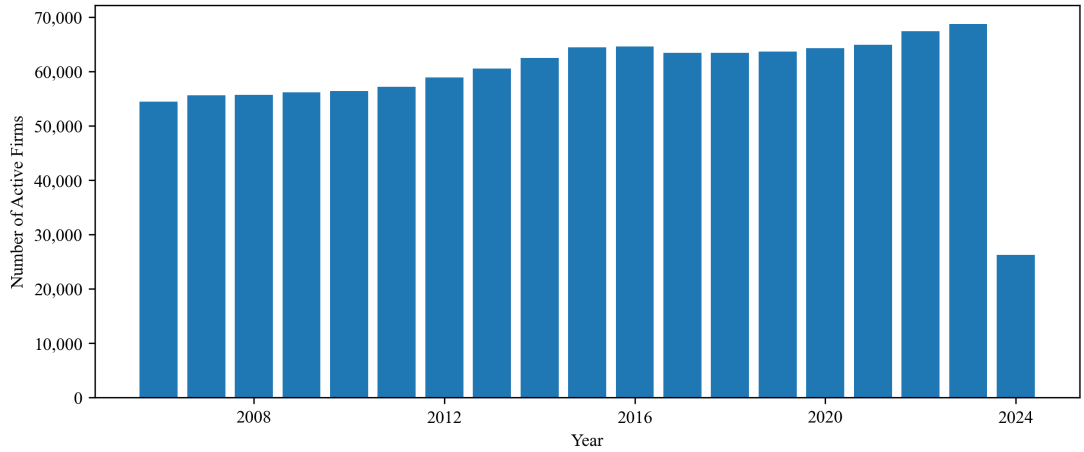
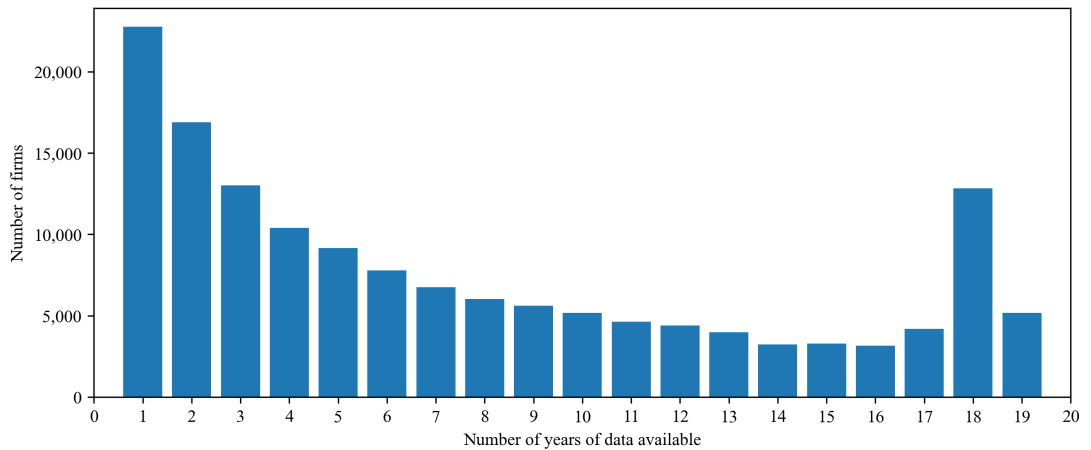


FIGURE II
Distribution of years of data available per firm



ebitda properties which are required to calculate firm GVA. This follows Irastorza-Fadrique et al. (2026): low-employee firms, additionally more likely to be shell companies, are likely to mechanically yield an inaccurately high TFP-residual calculation. Doing this at the observation rather than firm, has the risk of inducing bias to the variables measured as there may remain firms in the sample straddling the employees threshold which endogenously have their observation years of low-employees excluded. First-differencing in panel regressions with this data provides some mitigation to this issue by providing a buffer of one year either side to excluded observations. Nevertheless, this analysis adopts the observation-level threshold strategy. This set of filters reduced the number of valid firms in this analysis to 152,000 with 1,130,000 panel observations.

Figure ?? shows the distribution of active firms across years, which follows expected trends from macroeconomic business population surveys¹⁴. We can note an observable dip after the 2016 Brexit referendum and during the Covid-19 pandemic. We can also observe that 2024 is an incomplete sample set as not all firms had submitted their financial accounts for that year, but this is treated as a random effect and no further firms are filtering as a result of this.

The lifespan of a firm, and the corresponding number of *yearly* observations within the dataset follows a geometric distribution as given in Figure ?. With each passing year, a firm has a binary survival-remain decision, with an increasing discrete probability of survival for older firms.

3.3. DERIVING PANEL AGGREGATES

All financial data are deflated to real terms, using 2024 as the base year. I used macroeconomic data of the GDP deflator¹⁵ for all balance sheet variables, except for *renumeration_employees* and its composites for which I used CPIH¹⁶, as these are income-related aggregates with real spending power best captured by household purchasing baskets¹⁷. All financial data are in thousands ('000s) of GBP (£); as I estimate log relationships exclusively, this has no effect on parameter interpretation.

Labour input is taken from the number of employees reported on the FAME balance sheet per firm. This dataset, like all others, does not include hours worked per employee on a firm-level that would offer a more granular productivity (GVA per hour worked) measures. An estimation in this setting would likely have to impute the measure from industry aggregates, which would likely confound the

¹⁴ Department for Business and Trade (2025)

¹⁵ Office for National Statistics (2026c)

¹⁶ Office for National Statistics (2026a)

¹⁷ Office for National Statistics (2026b)

true firm-level signal.

Capital is Fame’s *fixed_total* variable, which represents the sum of tangibles, intangibles, and other investments within the balance sheet, namely an extremely comprehensive measure of the firm’s fixed capital. The average capital-output ratio is 6x within FAME when filtering for positive values Table II, which is moderately higher than macroeconomic aggregates typically suggest likely due to accounting standard differences.

TABLE II
Capital-output ratios in FAME corpus of firms

Variable	Description	Capital-output ratio
<i>tangibles</i>		3.53
<i>fixed_total</i>	tangibles + intangibles + inv._other	6.00
<i>total_assets</i>	fixed_total + current_assets	11.56

GVA is calculated as the sum of *ebitda* and *renumeration_employees*. *renumeration_employees* is the exact sum of *wages*, *social_security_costs*, and *pensions_costs* in the balance sheet. *ebitda* is in turn *turnover* minus intermediate inputs and is given in the Fame balance sheet for the vast majority of panel observations in our dataset. It is also possible to reconstruct *ebitda* via the sum of *profit_loss_pretax*, *interest_paid*, and *depreciation*, providing an alternative measure of GVA. We can expect the difference between these two to be accounting differences¹⁸ and additionally note that the alternate GVA measure also reduces panel observations from 1,085,520 to 618,588. For these reasons, I do not report TFP calculations with this second GVA measure which are regardless near-identical, though I resultingly refer to GVA throughout this paper as *gva_1*.

To help guide the choice of capital and output (GVA) measure, I conduct a quick benchmark 2-factor production estimation to help validate the choice of aggregates against known measurements.

$$y_{i,t} = \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + u_{i,t} \quad (1)$$

This specification is not valid OLS specification by the structural model I give later in 5.1. $u_{i,t}$ is a non-structural error-residual that is correlated with $k_{i,t}$, $l_{i,t}$. The estimation is a simple panel approach with time and fixed effects, and a constant. Regressors are given in log terms to approximate a structural production function similar to 4.

¹⁸ An OLS regression between the two, discarding 5% outliers, has a coefficient of 0.91 with a 0.000 p-value. This means *gva2* is slightly lower than *gva1*, with that impact mostly driven by top-end outliers.

TABLE III
Baseline 2-factor TFP estimation: varying fixed effects

	(1.) <i>gva</i> ₁	(2.) <i>gva</i> ₁	(3.) <i>gva</i> ₁	(4.) <i>gva</i> ₁
constant	2.995 (0.036)***	3.036 (0.031)***	1.970 (0.010)***	1.973 (0.010)***
ln(<i>employees</i>)	0.617 (0.005)***	0.614 (0.004)***	0.561 (0.002)***	0.561 (0.002)***
ln(<i>total_assets</i>)	0.286 (0.005)***	0.284 (0.004)***	0.421 (0.002)***	0.421 (0.002)***
<i>i</i> fixed effects	✓	✓		
<i>t</i> fixed effects	✓		✓	
Observations	1,045,164	1,045,164	1,045,164	1,045,164
R ² (excl. F.E.)	0.3313	0.3453	0.8094	0.8096
R ² (Overall)	0.7912	0.7900	0.8096	0.8096

TABLE IV
... varying parameter measures

	(5.) <i>gva</i> ₁	(6.) <i>gva</i> ₂	(7.) <i>gva</i> ₁	(8.) <i>gva</i> ₁
constant	2.995 (0.036)***	3.288 (0.056)***	4.751 (0.018)***	5.268 (0.070)***
ln(<i>employees</i>)	0.617 (0.005)***	0.611 (0.007)***	0.720 (0.004)***	0.628 (0.015)***
ln(<i>total_assets</i>)	0.286 (0.005)***	0.265 (0.007)***		
ln(<i>fixed_total</i>)			0.065 (0.002)***	
ln(<i>tangibles</i>)				0.090 (0.006)***
ln(<i>intangibles</i>)				0.025 (0.002)***
ln(<i>investments_other</i>)				0.007 (0.001)***
<i>i</i> fixed effects	✓	✓	✓	✓
<i>t</i> fixed effects	✓	✓	✓	✓
Observations	1,045,164	603,586	1,006,904	152,444
R ² (excl. F.E.)	0.3313	0.2764	0.2830	0.2699
R ² (Overall)	0.7912	0.7390	0.6751	0.7403

All parameters reported with standard errors underneath. Significant estimates against an $H_0 : \beta = 0$ are indicated with $p < 0.1$ (*), $p < 0.05$ (**), and $p < 0.01$ (***).

Coefficients derived in Table III give a labour income share, $\hat{\beta}_2$, exactly in line with ONS analysis of UK industry-level data over the same time period, particularly *corporate gross labour share* which is constructed from a similar sample to the coverage in Fame¹⁹.

Surprisingly, running the regression with *fixed_total* as the capital measure instead of *total_assets* almost entirely eliminates the capital share of income, or explanatory power of capital on variation in GVA. I leave it for future analysis why this dataset yields this phenomenon and for the rest of the analysis, I use *total_assets* as the primary capital measure.

As a demonstration, I include specifications which omit fixed effects. The capital share of income jumps on a specification with only time fixed effects, which is to be expected (explain).

¹⁹ Office for National Statistics (2024)

4. LOCATION DATA AND INTERACTIONS

Throughout this analysis, I use terminology of a productivity spillover occurring from a group or average of *peer* firms onto a *target* firm. The influence of the vector of all firms j on the vector of all firms i can be summarised in an $(n \times n)$ interactions matrix, $\mathbf{W}$.

This interactions matrix is symmetric: any firm with a peer weight calculated by the distance between the two firms naturally is a peer in return with an identical distance and weight. Extensions to this analysis could devise asymmetric relations, for example, with bigger firms having more influence. The interactions relationship is irreflexive - no target can be a peer of itself. For groups it is transitive: if firms A and B share a spatial group, namely travel-to-work area (*ttwa*), first-half of a UK postcode (*pc4*), or full postcode (*pc8*), then a firm C that is a peer of firm B must also be of firm A. For continuous distance measures, this is non-transitive. Firm B, a peer of firm A within its 5km radius, can clearly have its own peers that are within its own 5km radius that are beyond that radius for firm A. This matrix resembles a sparse matrix with a ‘thick’ diagonal, rather than a matrix with distinct large blocks. It should be noted that, as discussed in 4.3, the 5km-distance calculations for the network weighting matrices were limited to only firms within a TTWA, so when viewed as a whole, $\mathbf{W}_d$ does have a block diagonal group similar to $\mathbf{W}_{g3}$, though with heterogeneous weights internally within each group rather than a simple average.

TABLE V
Weighting matrices i, j -relation properties

Matrix type	Symmetric	Reflexive	Transitive	Overlapping groups	Blocks
Group, $\mathbf{W}_g$	✓	✗	✓	✗	g
Network, $\mathbf{W}_d$	✓	✗	✗	✓	<i>ttwa</i>

4.1. LOCATION DATA LIMITATIONS

This analysis amalgamated multisite firms to their primary trading address, as an assumption. In the dataset prepared for Irastorza-Fadrique et al. (2026), each firm is only tagged with their last-known registered address and primary trading address. Fame includes further trading addresses for multisite firms available for download through their data portal, however the only useful site-level datapoint provided is number of employees per trading address, and even then coverage is sparse²⁰. This analysis simply took the financial aggregates listed for each firm

²⁰ Moody’s Analytics (2025), platform accessed August 2026.

and assumed it to be located at the listed primary trading address. There are clear flaws to this method: large retail firms, such as consumer retailer *Tesco*, have several hundred listed trading addresses on Fame, and generate much less than the full amount of *GVA* at their listed primary trading location, such as in *Welwyn Garden City*. Nevertheless, difficult algorithm allocation decisions, or the pursuit of more sophisticated data sources would have been required to address this issue; these are discussed in section 7.1. The amalgamation assumption provides ease of computation while contributing to attenuation bias of the estimated spillover parameters due to imperfect target-peer spatial connections.

Additionally, the location data that is available is time-invariant, a characteristic of the *fixed* table, rather than updated on a yearly basis to reflect firm-movers. This is a reflection of using a comprehensive dataset of financial datapoints, that was not optimised for spatial analysis; instead Fame provides an in-built feature suggesting peers via balance sheet and industry similarity, which I ignore for this analysis. One interpretation of this analysis' use of this characteristics is that each firm is over the entire 20-year sample with no movers. This seems very unlikely: subsection 2.2 (New Economic Geography) tells us to expect the endogenous location of firm movement and colocation to optimise for taking advantage of firm spillovers. Using the location characteristics as I do, as a noisy signal of the firm's true location, has 2 econometric consequencesj.

Firstly, firm fixed effects in all spatial specifications become extremely important. For all movers within the sample period, an endogenous firm location decision can only be modelled as correlated with the spillover regressors of interest. This justifies my use of fixed effects over random effects throughout this analysis. Firm fixed effects are time invariant, and can additionally help to eliminate some of the endogeneity induced by movers who undertook their move just before the sample period, 2006-, to maximise their spillover effect.

Secondly, I acknowledge some attenuation to the productivity spillover estimate Peer firms who were close to the target firm during the firm-year observation who subsequently moved away within-sample will have an extreme distance recorded, and so be excluded from tagged address groups and truncated distance calculations. Peer firms who are recorded as close to the target firm as they subsequently moved to the location. This reduces down the strength of the spillover coefficient θ_0 estimated.

4.2. LOCATION GROUP CLASSIFICATION

Spillover effects from neighbouring firms are summarised in a weighting matrix $\mathbf{W}$, where a non-zero weight implies some use of the peer firm's attributes in the regression to estimate the target firm's TFP. I construct initial weights by peers

which share a spatial identifier, meaning they belong to the same travel-to-work-area (*ttwa*) using the 2011 definitions²¹, the first half of a UK postcode *pc4*, and the full UK postcode *pc8*.

The structure of the weighting matrix $\mathbf{W}$ is key to identification. W is an $n \times n$ matrix of weights where each column j denotes a weight w_{ij} applied on the variable of peer firm j , summing across rows i to reach a weighted aggregate regressor with an estimated effect on target firm i .

W retains the irreflexivity property discussed: its diagonal elements are all 0, meaning a firm's TFP aggregate cannot be part of a weighted sum to an effect on its own TFP or GVA. This is common to peer effects literature such as Moffitt and Caspi (2001) and discussed in Bramoullé et al. (2009). Group classifiers impose an otherwise block diagonal structure on $\mathbf{W}$. The resulting $n \times n$ matrix has off-diagonal elements as the size of group members (blocks) within the matrix, $s_g - 1$, which excludes the target firm i . The structure is given below²²:

$$w_{ij} \in \mathbf{W}_g = \begin{cases} 0, & \text{if } i = j \\ \frac{1}{s_g - 1}, & \text{else if } (i, j) \in g \\ 0, & \text{otherwise} \end{cases}$$

$$\Gamma_{s_1} \in \mathbf{W}_g = \{i, j \in g\}, s_1 : n_g$$

$$\mathbf{W}_g = \begin{pmatrix} \Gamma_{s_1} & 0 & \dots \\ 0 & \Gamma_{s_2} & \dots \\ \vdots & \vdots & \ddots \end{pmatrix}_{(n \times n)}$$

An example such matrix is $\mathbf{W}_{g^*}$, a (7×7) set of interactions between firms which have group classifiers of size $s_1 = 4$ and $s_2 = 3$ only.

I can extend this to more complicated set of group rules. I calculate non-overlapping group weights $\mathbf{W}_g$ to $\mathbf{W}_{g1}, \mathbf{W}_{g2}, \mathbf{W}_{g3}$ at once, which represent the successive concentric rings of *pc8* (core), *pc4*, and *ttwa*. The weighting rules for these multiple, non-overlapping groups is to zero the i, j interaction in W_{gk} if a prior matrix in the series, W_{gl} , $l < k$ has a non-zero entry in that cell. I illustrate

²¹ Travel-to-work area definitions from 2011 are broadly still considered the mostly reliable for current analytical research, due to the pollution in travel and working patterns occurring as a result of the Covid-19 pandemic during the 2021 Census. Travel-to-work-area area coverages, meaning maps from the location data available particularly postcode tend to be time-invariant following the pattern of the 2001 to 2021 changes, which mostly occurred in border areas of the UK's large cities.

²² Adapted from Bramoullé et al. (2009)

FIGURE III
Illustration of group matrix $\mathbf{W}$

$$\mathbf{W}_{g1:3} = \begin{pmatrix} 0 & \frac{1}{3} & \frac{1}{3} & \frac{1}{3} & 0 & 0 & 0 \\ \frac{1}{3} & 0 & \frac{1}{3} & \frac{1}{3} & 0 & 0 & 0 \\ \frac{1}{3} & \frac{1}{3} & 0 & \frac{1}{3} & 0 & 0 & 0 \\ \frac{1}{3} & \frac{1}{3} & \frac{1}{3} & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{2} & \frac{1}{2} \\ 0 & 0 & 0 & 0 & \frac{1}{2} & 0 & \frac{1}{2} \\ 0 & 0 & 0 & 0 & \frac{1}{2} & \frac{1}{2} & 0 \end{pmatrix}$$

Weighting matrix $\mathbf{W}$ illustration for a network of 7 interacting firms in a group *pc8*. Of these, firms 1-4 share their postcode, as do firms 5-7.

an example in Figure II. These matrices are orthogonal.

$$w_{ij} \in \mathbf{W}_{gk} = \begin{cases} 0, & \text{if } i = j \\ 0, & \text{if } w_{ij,l} \neq 0, \exists l < k \\ \frac{1}{s_g - 1}, & \text{else if } (i, j) \in g \\ 0, & \text{otherwise} \end{cases}$$

FIGURE IV
Illustration of multiple, non-overlapping groups

$$\mathbf{W}_{g \sim II} \sim \begin{bmatrix} 0 & \frac{1}{2} & \frac{1}{2} & 0 & 0 & 0 & 0 & 0 \\ \frac{1}{2} & 0 & \frac{1}{2} & 0 & 0 & 0 & 0 & 0 \\ \frac{1}{2} & \frac{1}{2} & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0 & 0 & 1 \\ 0 & 0 & 0 & 0 & 0 & 0 & 1 & 0 \end{bmatrix} \begin{bmatrix} 0 & 0 & 0 & \frac{1}{4} & \frac{1}{4} & 0 & 0 & 0 \\ 0 & 0 & 0 & \frac{1}{4} & \frac{1}{4} & 0 & 0 & 0 \\ 0 & 0 & 0 & \frac{1}{4} & \frac{1}{4} & 0 & 0 & 0 \\ \frac{1}{4} & \frac{1}{4} & \frac{1}{4} & 0 & \frac{1}{4} & 0 & 0 & 0 \\ \frac{1}{4} & \frac{1}{4} & \frac{1}{4} & 0 & \frac{1}{4} & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{2} & \frac{1}{2} & 0 \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{2} & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{2} & 0 & 0 \end{bmatrix} \begin{bmatrix} 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ 0 & 0 & 0 & 0 & 0 & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} \\ \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & 0 & 0 & 0 \\ \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & 0 & 0 & 0 \\ \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & \frac{1}{8} & 0 & 0 & 0 \end{bmatrix}$$

Non-overlapping group illustration for a network of 8 interacting firms in a *ttwa*. Of these, firms 1-5 share the first half of a postcode - are in a *pc4* group, as are firms 6-8. Within those, firms 1-3 share a full postcode, as do firms 7-8. Firms 4-6 are isolated in their *pc8* groups.

Firms have been labelled using their location features to symmetric, transitive, non-overlapping groups by *ttwa* (largest) to *lat_lon5* (smallest), with the latter meaning two firm entries shared a latitude-longitude identifier to 5 decimal places. Reviewing the summary statistics, I opted for full postcodes, *pc8* as the group identifier for initial 1-group models in Table VII. This was mostly driven by full data availability, and the consistency of postcode definitions with the larger group *pc4*. Deriving a subgroup by latitude-longitude match within the postcode seemed

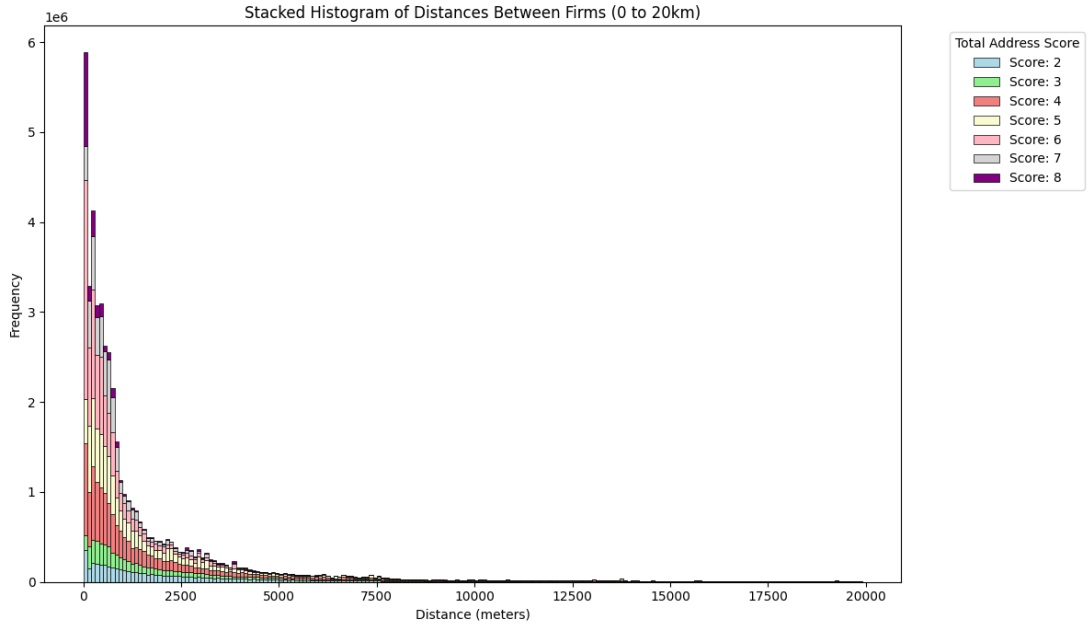
fruitless, as in many cases it would identify the exact same firms, a move from the average number of peers from 3.1 to 2.9, and was a similar number of groups, with non-cohesive definitions.

TABLE VI
Summary statistics across location groups

Property	Number of groups	Unclassified	Unclassified (%)	Avg. peers per group
<i>ttwa</i>	228	567	0.4%	668.3
<i>pc4</i>	2,705	0	0.0%	56.3
<i>pc8</i>	49,963	0	0.0%	3.1
<i>lat_lon3</i>	48,540	507	0.3%	3.1
<i>lat_lon4</i>	53,193	507	0.3%	2.9
<i>lat_lon5</i>	53,246	507	0.3%	2.9

4.3. (LOCATION DISTANCE CALCULATIONS)

FIGURE V
Histogram of distances between any target-firm pairing



Plotted into bins of 100m distance measures. Using the *d1* distance measure, which is hard-bounded that no firm can have a firm-peer spillover relation past a *ttwa* boundary, truncated at 20km. Colours indicate differing levels of data quality for addresses within Fame. (This must be an old chart, I think we truncated at 5km in the end. Also, to produce without colours as this adds confusion)

FIGURE VI
Illustration of distance-weighted matrix

$$\begin{bmatrix} 0 & 0.42 & 0.29 & 0.28 & 0 & 0 & 0 & 0 & 0 \\ 0.31 & 0 & 0.38 & 0.32 & 0 & 0 & 0 & 0 & 0 \\ 0.09 & 0.17 & 0 & 0.74 & 0 & 0 & 0 & 0 & 0 \\ 0.09 & 0.14 & 0.76 & 0 & 0 & 0 & 0 & 0 & 0 \\ 0 & 0 & 0 & 0 & 0 & 0.36 & 0.27 & 0.36 & 0.27 \\ 0 & 0 & 0 & 0 & 0.02 & 0 & 0.02 & 0.96 & 0.02 \\ 0 & 0 & 0 & 0 & 0.24 & 0.38 & 0 & 0.38 & 0 \\ 0 & 0 & 0 & 0 & 0.02 & 0.96 & 0.02 & 0 & 0.02 \\ 0 & 0 & 0 & 0 & 0.24 & 0.38 & 0 & 0.38 & 0 \end{bmatrix}$$

Illustrative 9×9 $\mathbf{W}$ network structure generated by taking a random block of 4 firms sharing a *ttwa* from the cleaned Fame data and a random block of 5 firms. True $\mathbf{W}_d$ matrices have *ttwa* have much larger blocks within the block diagonal structure. Weights use the *d1* algorithm, which is the reciprocal of *distance_meters* row-normalised. Values rounded to 2 decimal places.

4.4. ITERATIVE WEIGHTING APPLICATIONS

Intuitively, I take the product of these weighting matrices $\mathbf{W}$ to the aggregate variables vectors *gva1*, capital *total_assets*, and labour *employees*. As will be shown in section 5 Static models, the procedure to generate valid instrumental variables also requires me to apply multiples of this transformation matrix, exponents $\mathbf{W}^2, \mathbf{W}^3, \mathbf{W}^4$, and for interacting group matrices, $\mathbf{W}_{g1}\mathbf{W}_{g2}, \mathbf{W}_{g2}\mathbf{W}_{g3}$ and so on to the aggregates.

As a data procedure, I calculate these for my 3 aggregate variable vectors of interest. As given below in Table XIV, this requires a total of 51 compound weighting matrices, or columns of a database, to be calculated and generated. Of course, these column vectors each contain a stacked *firm (i)-year (t)* observation, giving an additional matrix of over 1 million entries.

Matrix products, including taking high indices, of the interactions between 1,52,379 firms is not computationally difficult, especially with sophisticated algorithms to handle W 's block diagonal structure. However, storing the calculation in temporary memory is beyond the capacity of any standard machine available as a research tool.

Instead, I use a computational approach that avoids calculating the $\mathbf{W}^2, \mathbf{W}^3 \dots$ matrix separately, but rather iteratively applies the last pre-multiplied matrix to the aggregate variable, and then pre-multiplies the next matrix along to the result. Using memory-efficient *duckdb*, the procedure is as follows: (itemize)

4.5. EVALUATING THE LINEAR INDEPENDENCE OF $\mathbf{W}$ MATRICES

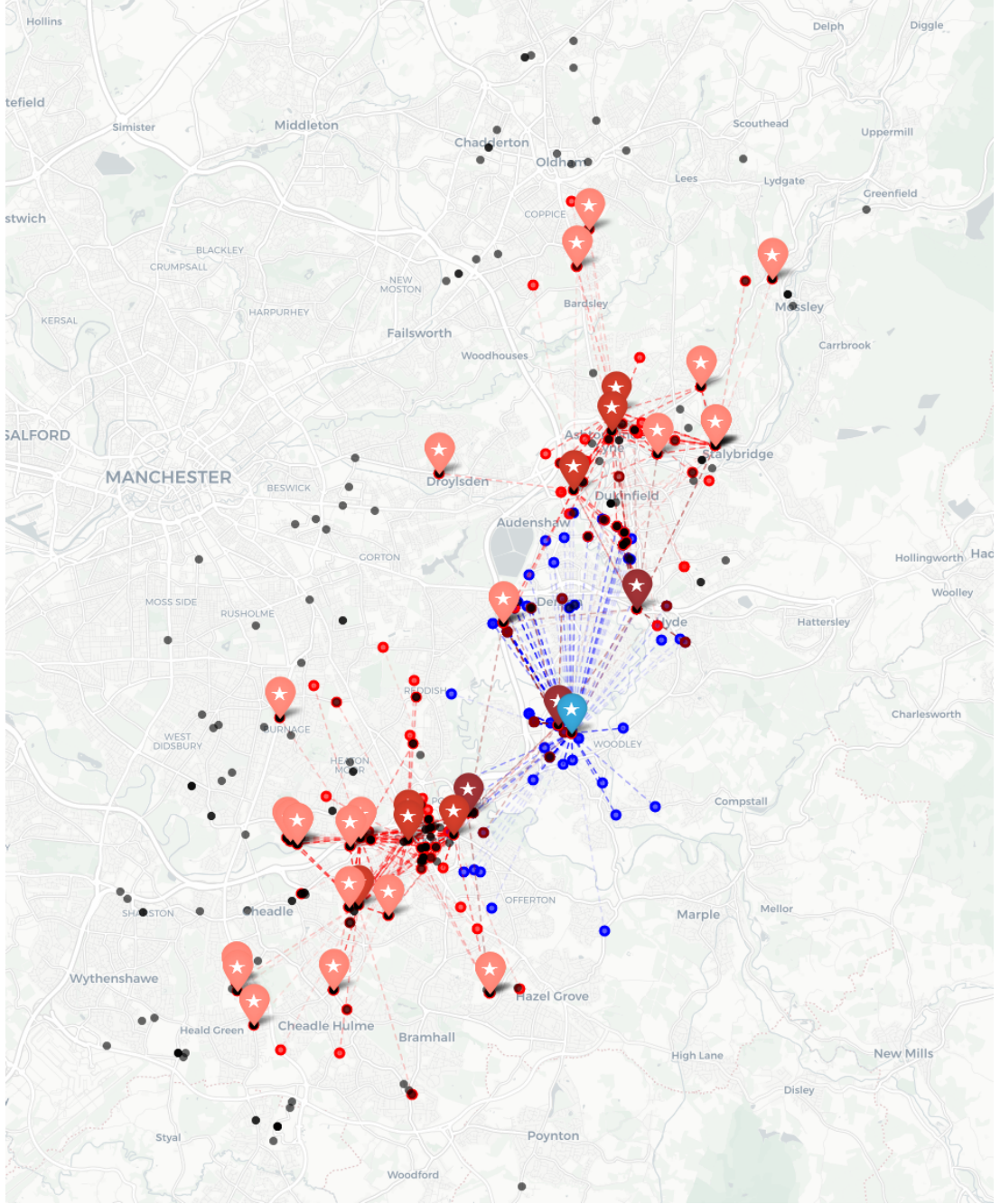
As will be discussed more heavily in the theory of 5.1, the key condition of these $\mathbf{W}$ matrices that will permit valid instrumentation of endogenous variables is to check the linear independence of $\mathbb{I}$, $\mathbf{W}$, $\mathbf{W}^2$, and later $\mathbf{W}^3$. I can trivially say this is true, meeting the alternative sufficient conditions in I of ≥ 3 group sizes for the group $\mathbf{W}$ matrices. (Histogram of group sizes?)

My distance-decay weights, $\mathbf{W}_{d1}$, $\mathbf{W}_{d2}$, $\mathbf{W}_{d3}$ meet the strong alternative $s_d \geq 3$ condition, where s_d is the *diameter* of the network, the maximal number of links connecting any target i with another firm through a series of peers $j, k, \dots$. In the analysis of this set of firms with distance radius limits, the *diameter* is large, potentially spanning the full spatial diameter of a *ttwa*. It is this mechanism design provides another justification, alongside computation, for limiting the max length of a target-firm peer relation to 5km: it vastly increases the probability of ‘overlapping groups’, i.e. a high diameter network within a ‘itxttwa’. The overlapping group network structure lends itself nicely to illustrations. Figure V selects a random firm i from my sample, which happens to be in Stockport, Greater Manchester, and draws the distances used to calculate metric $d1$ between this target and its peers. In typical network diagram fashion, a network with a considerable *diameter* is created by taking a subset of i ’s peers, then successively a set of their peers, then successively some of those and so on. 4 iterations in this diagram fails to clearly hit the *ittwa* boundary, on the south side, with more argument for this behaviour on the north side where peer nodes randomly selected may be starting to bunch at an ‘invisible’ border of the *ttwa* boundary.

As additional credibility, I discuss strategies for evaluating the linear independence of $\mathbb{I}$, $\mathbf{W}$, $\mathbf{W}^2$ (...)

FIGURE VII

Illustration (2) of overlapping groups from a target firm to its whole network through successive peers



(blue pin): target firm i with a full set of its (blue dot) peers j , distances d_1 metric drawn in.
 (dark red pins): sample (limit 5) of j peers, then calculated as their own targets
 (red pins): sample (limit 5) of k peers of firms j , some of which are also shared as a peer of i .
 (light red pins): sample (limit 5) of m peers of firms k , few of which are also shared as a peer of i .

(light red dots): set of n peers of firms m , few of these are peers of i, j , probabilistically creating a network diameter of $s_d \geq 3$. Plotting software from Folium (2012). Map tiles from CARTO (2026).

5. STATIC MODELS

I use a stylised 3-factor production model throughout this analysis. Y , A , K , and L are each firm-year observation's GVA, TFP, labour, and capital in levels. I use lower-case variables to indicate logged terms and bolded variables to indicate i -stacked vectors.

Log TFP, denoted by $z_{i,t}$, is the residual after the own-firm contribution of the two classical inputs. I decompose it to a constant across all observations, firm and time fixed effects and, most crucially for this investigation, a vector of the weighted sum of all peer 3-factor production factors with the dot product against the vector of their respective spillover coefficients $\boldsymbol{\theta}_0$:

$$\mathbf{z}_t^{spill} = \left(\sum_{j \neq i} w_{ij} z_{j,t} \quad \sum_{j \neq i} w_{ij} k_{j,t} \quad \sum_{j \neq i} w_{ij} l_{j,t} \right) \quad (2)$$

$$\boldsymbol{\theta}_0 = \begin{pmatrix} \delta_0 & \xi_0 & \zeta_0 \end{pmatrix}' \quad (3)$$

Different static weights, w_{ij} , are explored throughout this section. The objective is to estimate the vector of structural coefficients $\boldsymbol{\theta}_0$ of spillover from peers to any given target firm.

$$Y_{i,t} = A_{i,t} \cdot K_{i,t}^{\beta_1} \cdot L_{i,t}^{\beta_2} \quad (4)$$

$$z_{i,t} = \ln(A_{i,t}) = y_{i,t} - \beta_1 k_{i,t} - \beta_2 l_{i,t} \quad (5)$$

$$= \alpha_i + \gamma_t + \beta_0 + \mathbf{z}_t^{spill} \boldsymbol{\theta}_0 + \varepsilon_{i,t} \quad (6)$$

$$y_{i,t} = \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \delta_0 \sum_{j \neq i} w_{ij} z_{j,t} + \xi_0 \sum_{j \neq i} w_{ij} k_{j,t} + \zeta_0 \sum_{j \neq i} w_{ij} l_{j,t} + \varepsilon_{i,t} \quad (7)$$

$$\begin{aligned} &= \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \varepsilon_{i,t} \\ &\quad + \delta_0 \sum_{j \neq i} w_{ij} \cdot (y_{j,t} - \beta_1 k_{j,t} - \beta_2 l_{j,t}) + \xi_0 \sum_{j \neq i} w_{ij} k_{j,t} + \zeta_0 \cdot \sum_{j \neq i} w_{ij} l_{j,t} \\ &= \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \varepsilon_{i,t} \\ &\quad + \delta_0 \sum_{j \neq i} w_{ij} y_{j,t} + (\xi_0 - \delta_0 \beta_1) \cdot \sum_{j \neq i} w_{ij} k_{j,t} + (\zeta_0 - \delta_0 \beta_2) \cdot \sum_{j \neq i} w_{ij} l_{j,t} \end{aligned} \quad (8)$$

Equation (8) is a linear peer effects specification as given by Manski (1993). It is helpful to borrow the terminology from this literature think of $\begin{pmatrix} k_{i,t} & l_{i,t} \end{pmatrix} \in x_{i,t}$ as *exogenous* characteristics of firm i causally affecting its outcome $y_{i,t}$. There is an *endogenous* effect directly from peer outcomes $y_{j,t}$ with coefficient δ_0 . Peers also have an *exogenous* characteristics $x_{i,t}$, which have a direct impact on on the target's productivity $x_{i,t}$ via ξ_0 and ζ_0 . For this section of models, I assume there are no *correlated* effects²³. I use this peer effects terminology throughout

²³ Though this would be achieved via network fixed effects

this paper italicising *endogenous*, *exogenous*, and *correlated*, noting to the reader the confusion this may cause with the more general and related concepts of endogeneity and exogeneity. The use of fixed effects has no effect on econometric interpretation of the peer effects model.

It is important to note that I do not impose restrictions on θ_0 . I allow each of the 3 factors of production to independently exert a spillover effect in general form. This allows this analysis' investigation as to which of the production factors matters more for productivity spillovers, and in what ratio, conceptually linked to the discussion in 2.1 about identifying the channels through which productivity spillovers might occur. Through this 3-factor production model, it is hard to link each parameter in θ_0 to a Marshallian channel, but broadly we might consider ζ_0 , the coefficient on an increase in a peer firm's labour inputs affecting a target's TFP to resemble Marshall (1920)'s labour pooling, with some interaction to knowledge spillovers, and δ_0 , the coefficient from a peer firm's TFP to target TFP to be the remainder of knowledge spillover effects. A TFP spillover occurring from peer firm's capital ξ_0 would be a novel channel to Marshall (1920)'s discussion and could reflect the idea of more capital-intensive peers. Regardless, it is strongly justifiable that we would expect the coefficient on each peer production factor to spillover to a target firm's production heterogeneously, and not be proportionate to the contribution of these factors to their own-firm GVA. I have no *a priori* arguments for the sign of the θ_0 coefficients and their relative magnitudes compared to their contributions to own-firm GVA in β_1, β_2 .

$$y_{i,t}^{(y)} = \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \delta_0 \sum_{j \neq i} w_{ij} y_{j,t} + \varepsilon_{i,t} \quad (9)$$

$$y_{i,t}^{(z)} = \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \delta_0 \sum_{j \neq i} w_{ij} z_{j,t} + \varepsilon_{i,t} \quad (10)$$

$$= \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \delta_0 \sum_{j \neq i} w_{ij} y_{j,t} - \delta_0 \beta_1 \sum_{j \neq i} w_{ij} k_{j,t} - \delta_0 \beta_2 \sum_{j \neq i} w_{ij} l_{j,t}$$

Two alternative specifications may be proposed: equation (9) modifies (7) to argue that it is the whole of GVA which matters the peer-target spillover, not each component heterogeneously. It is trivial to see that this implies the coefficient on the *exogenous effect* is zero, such that $\xi - \delta_0 \beta_1 = \zeta - \delta_0 \beta_2 = 0$. This has the interpretation alluded to above, that the peer effect of any classical factor, capital and labour, is exactly in the ratio to its own factor income, which is a strong restriction to impose. We might expect this to be a nested specification of (8), that we can merely Wald-test the joint hypothesis as given above, but actually this specification cannot be identified due to the endogeneity of $y_{j,t}$, without strict

assumptions on the orthogonality of peer errors.

The alternative in equation (10) argues that only the TFP component of production matters for the spillover to influence a target firm’s TFP. This is also a restriction on the more general (7) such that $\xi_0 = \zeta_0 = 0$. On first glance, it may appear that this model follows the structure of the peer effect class of models too and is in fact over-identified, with both the coefficients of the peer classical factors and $\sum_{j \neq i} w_{ij} y_{j,t}$ identifying δ_0 . However, because of the specific set-up of the reflection problem where $w_{ij} y_{j,t}$ is endogenous and we instrument it through $k_{j,t}, l_{j,t}$ higher-order spatial lags, this model is actually non-identified. I demonstrate this in Identification under differing spillover assumptions.

While the classical production function (7) is limited to constant returns to scale, $\beta_1 + \beta_2 \leq 0$, a standard assumption across the growth and firm production literature, no such restrictions for the firm occur with the endogenous decomposition of TFP. A restriction on logged production (7) collectively on β_1, β_2 , and θ_0 is difficult to justify. As with other external effects, there is no reason to believe that market factor prices and the firm decision-rule for spatial allocation in view of these spillover effects, $w_{ij} z_{j,t}$, is socially optimal. A peer firm j with extremely high and growing components of GVA has little interest in siting themselves in the centre of a cluster of firms that are struggling with TFP growth, yet the external impacts of that firm would be significant.

5.1. STATIC PANEL IDENTIFICATION

Consistency requires the plausible exogeneity of regressors used in structural equation (8) from the error term $\varepsilon_{i,t}$. Capital and labour inputs in every firm i, j are assumed to be strictly exogenous to every other firm’s TFP error shock, for every period in this static model. This is crucial for consistency with the direct own-firm $k_{i,t}, l_{i,t}$ inputs, but also the use of $\mathbf{w}_{ij} k_t, \mathbf{W}^k l_t$ as an *exogenous* effect and, as we will later see, the ability to leverage higher-order spatial lags of the *exogenous* effect as an unconfounded instrument for $w_{ij} y_{j,t}$. This is a restrictive assumption, but standard in the practice of constructing static panel models. It is relaxed in Section 6.

$$\mathbb{E}[\varepsilon_{i,t} | (k_{i,t} \quad l_{i,t})] = 0_{(1 \times 2)}, \quad \forall i, \forall t, \tau \quad (11)$$

The *endogenous* effect regressor $\sum_{j \neq i} w_{ij} y_{j,t}$ is, unsurprisingly, endogenous, making valid estimation in this setting more complicated. To show the endogeneity requires stacking w_{ij} target-peer weights to an $n \times n$ interactions matrix, $\mathbf{W}$. I

invert the *endogenous* component to give a $(\mathbb{I} - \delta_0 \mathbf{W})^{-1}$ coefficient on all variables.

$$\delta_0 < 1 \implies |\mathbb{I} - \delta_0 \mathbf{W}| \neq 0 \quad (12)$$

The inversion is permissible because I can expect a restriction to apply, ruling out iteratively increasing shocks²⁴. We can interpret this as a ‘spatial lag polynomial’, directly comparable to the lag polynomial and MA inversion procedure in autoregressive time series analysis²⁵.

$$\mathbf{y}_t = \boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \delta_0 \mathbf{W} \mathbf{y}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t + \boldsymbol{\varepsilon}_t \quad (13)$$

$$\begin{aligned} &= (\mathbb{I} - \delta_0 \mathbf{W})^{-1} (\boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t + \boldsymbol{\varepsilon}_t) \\ &= \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^k (\boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t + \boldsymbol{\varepsilon}_t) \end{aligned} \quad (14)$$

$$\begin{aligned} &= \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \frac{\gamma_t + \beta_0}{1 - \delta_0} \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t \\ &\quad + \xi_0 \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^{k+1} \mathbf{k}_t + \zeta_0 \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^{k+1} \mathbf{l}_t + \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \end{aligned} \quad (15)$$

$$y_{j,t} = \cdots + \underbrace{\sum_{k=0}^{\infty} [\delta_0^k \mathbf{W}^{k+1}]_{(j, \cdot)} \begin{pmatrix} \mathbf{k}_t & \mathbf{l}_t \end{pmatrix} \begin{pmatrix} \xi_0 \\ \zeta_0 \end{pmatrix}}_{\text{exogenous}_j} + \underbrace{\sum_{k=0}^{\infty} [\delta_0^k \mathbf{W}^k]_{(j, \cdot)} \cdot \boldsymbol{\varepsilon}_t}_{\text{error transformation}_j} \quad (16)$$

It is the primary econometric challenge of this section to overcome the endogeneity of $y_{j,t}$, which is clearly demonstrated in reduced-form equation (16). It contains a linear transformations of all firms’ error shocks $\boldsymbol{\varepsilon}_t$, including $\varepsilon_{i,t}$. This implies:

$$\mathbb{E}[y_{j,t} \varepsilon_{i,t}] \neq 0 \quad (17)$$

The ‘Reflection Problem’ poses a second issue as outlined in Manski (1993). Equation (15) shows that $\mathbf{W} \mathbf{y}_t$ is a linear combination of all other regressors. In the classical setup, $\mathbf{W}$ is a block diagonal matrix of equal-size groups, and Manski

²⁴ $\delta_0 \geq 1$ would imply an exogenous TFP shock to firm k would increase TFP in its peer firm j more than 1x, which would increase TFP in that firm’s peer i more than 1x, and so on until the effect multiplies to infinity, or at least on the knife-edge $\delta_0 = 1$ case, any TFP shock occurring in one firm applies equally and consistently to every firm in a network.

²⁵ A full algebraic derivation from lines (15) to (16) is available in Appendix B. Note that since the vectors $\mathbf{k}_t, \mathbf{l}_t$ appear twice in (15), as components of $\mathbf{y}_t$ the coefficients can be grouped but it is clearer to separate this into an ‘own-firm’ effect of $\mathbf{k}_t, \mathbf{l}_t$ and a spillover effect of $\mathbf{W}^{k+1} \mathbf{k}_t, \mathbf{W}^{k+1} \mathbf{l}_t \forall k \geq 0$

(1993), later reaffirmed in Bramoullé et al. (2009) show that the reduced-form estimation of this model contains fewer estimated parameters than structural parameters, making variation in $y_{j,t}$ indistinguishable to that of all other regressors.

There are two solutions. I could either proceed with an extremely strong exogeneity assumption, (18), which is most likely satisfied by total orthogonality between all contemporaneous idiosyncratic errors hitting peer firms (19). This in turn makes the regressor $y_{j,t}$ exogenous, allowing direct estimation of (7), sidestepping the ‘Reflection Problem’ by assuming away *endogenous* regressors, and having each regressor exogenously identified in itself. For identification, this implies that any productivity shock $\varepsilon_{j,t}$ occurring in peer firm j , if it is contemporaneously correlated with TFP $z_{i,t}$ in target firm i must be attributable to the peer effect coefficient via δ_0 . This precludes any contemporaneous, correlated independent TFP shocks, which might occur on both the global and local level. Model (1.) takes this assumption in 5.2. We should assess these results with the heavy caveat that this strict error orthogonality assumption is unlikely to be credible.

$$\mathbb{E}[\varepsilon_i | \mathbf{W}^k (\boldsymbol{\alpha} \quad \gamma_t \boldsymbol{\iota} \quad \beta_0 \boldsymbol{\iota} \quad \mathbf{k}_t \quad \mathbf{l}_t)] = 0, \forall k$$

$$\mathbb{E}[\varepsilon_{i,t} | \mathbf{W}^k \boldsymbol{\varepsilon}_t] = 0, \forall i, j \quad (18)$$

$$\Longleftarrow \mathbb{E}[\varepsilon_{i,t} \varepsilon_{j,t}] = 0, \forall k \quad (19)$$

Instead, as recommended in Bramoullé et al. (2009), the most defensible approach is to internally instrument the *endogenous* variable, $y_{j,t}$ through deeper spatial lags of the *exogenous* parameters $\mathbf{W}^2 \mathbf{x}_t, \mathbf{W}^3 \mathbf{x}_t \dots \mathbf{W}^k \mathbf{x}_t \forall k > 2$. These are valid instruments under certain testable properties of $\mathbf{W}$ given in Table I. Essentially, these reduce to checking that the matrices $\mathbb{I}, \mathbf{W}, \mathbf{W}^2$ are linearly independent, which are sufficiently achieved for group interactions by having 2 or more differently-sized groups, or a network diameter of at least 2.

This identification strategy is not a ‘free lunch’. It requires the underlying assumption that the group size, or network diameter, is in itself exogenously determined. This would be intuitively violated, if firms colate based on the expected productivity benefits of moving to an area, namely to benefit from the supply-side spillovers we aim to investigate. Unfortunately, it is highly likely that firm location decisions are endogenous, this is the whole principle of the (New Economic Geography) literature whose descriptive patterns of firm movements underlying productivity spillover I here aim to investigate. I am helped here, however, by the use of time-invariant weights. Plausibly, over the observations of a panel dataset up to 20 years, if firm weights apply to each firm on a fixed basis, the temporal variation despite these constant location effects provide credible

exogenous variation. On this however, the strategy runs into the limitations of Fame location data discussed in 4.1 The analysis is also helped by the relatively higher number of panel observations to relatively low ratio of confounding movers in the dataset, as well as the numerous, plausibly exogenous reasons why a firm might choose to set up in a location with path dependency, rather than to fully maximise its peer spillover benefits. On the balance of arguments, I take the assumption of network exogeneity and identification approach for models in Tables (XII and IX).

I use the instruments ($\mathbf{W}^2 \mathbf{x}_t$ and other second-order variants) for this section's group models (Table VI, models (5-8)) and $\mathbf{W}^2 \mathbf{x}_t, \mathbf{W}^3 \mathbf{x}_t, \mathbf{W}^4$ as feasible instruments for this section's network models (Table VII, model). Equation (20) illustrates the valid $2l$ moment conditions, noting that I have chosen to display this in a $l \times 2$ matrix for space and conceptual symmetry, as the instruments can be grouped by k_t and l_t regressors. The first 2 rows correspond to the exogenous regressors within the reduced-form equation itself, the own-firm classical factors effect from $k_{i,t}, l_{i,t}$ and the *exogenous* peer effect from $k_{j,t}, l_{j,t}$. The remaining rows are instrument linear combinations of all firm classical factor inputs $\mathbf{k}_t, \mathbf{l}_t$, using the higher-order spatial lags of $\mathbf{W}$ discussed.

$$\mathbb{E}[\epsilon_{i,t} \mid \begin{pmatrix} k_{i,t} & l_{i,t} \\ w_{ij} k_{j,t} & w_{ij} l_{j,t} \\ [\mathbf{W}^2]_{(j,)} \mathbf{k}_t & [\mathbf{W}^2]_{(j,)} \mathbf{l}_t \\ [\mathbf{W}^3]_{(j,)} \mathbf{k}_t & [\mathbf{W}^3]_{(j,)} \mathbf{l}_t \\ \vdots & \vdots \\ [\mathbf{W}^k]_{(j,)} \mathbf{k}_t & [\mathbf{W}^k]_{(j,)} \mathbf{l}_t \end{pmatrix}] = 0_{l \times 2} \quad (20)$$

These instruments and conditions are intuitive: we can see through equation (16) that a linear combination of all firms' contemporaneous capital and labour inputs, $\mathbf{W}^{k+1} (\mathbf{k}_t \ \mathbf{l}_t) \ \forall k \geq 0$ are an exogenous component of $y_{j,t}$ with the coefficients ξ_0 and ζ_0 respectively. It has relevance, meaning $\mathbb{E}[y_{j,t} \cdot [\mathbf{W}^k]_{(j,)} \mathbf{x}_t] \neq 0, \ \forall k > 2$ as long as $\xi_0 \neq 0$ and $\zeta_0 \neq 0$. The relevance conditions themselves are also unsurprising and highly intuitive given the model's setup with GVA equation (7). Note that the relevance conditions are more complex setup in Bramoullé et al. (2009), this is because the factor $\delta_0 (\beta_1 \ \beta_2)$ cancels out due the accounting composition of TFP in the *exogenous effect*, which is absent from the general model. This also allows clear understanding of why the TFP-only spillover model (10) fails, as setting both $\xi_0 = \zeta_0 = 0$ means the higher order spatial lags of $\mathbf{k}_t$ and $\mathbf{l}_t$ disappears from the composition of the $y_{j,t}$ term. An Anderson-Rubin test for weak instruments in my nested 3-factor spillover setup can test for the the

strength of instrument of $\mathbf{k}_t$ and $\mathbf{l}_t$. If I find that they the higher-order spatial lags are jointly weak instruments, that would validate the TFP-only spillover model and suggest $\xi_0 = \zeta_0 = 0$.

Finally, one might observe that $[\mathbf{W}]_{(j,)}\mathbf{x}_t$ is a component of $y_{j,t}$ and so a valid instrument. However, it does not increase the number of instruments I would use in my instrumental specification as it is already included as an exogenous regressor in 13 so does not help increase our identification of $y_{j,t}$.

5.2. LINEAR-IN-MEANS GROUPED MODEL

The first model proceeds with the strict error orthogonality (18) and (19) assumptions. Estimation has the following reduced form:

$$\begin{aligned} y_{i,t} &= \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \varepsilon_{i,t} & (\text{from 8}) \\ &+ \delta_0 \sum_{j \neq i} w_{ij} y_{j,t} + (\xi_0 - \delta_0 \beta_1) \cdot \sum_{j \neq i} w_{ij} k_{j,t} + (\zeta_0 - \delta_0 \beta_2) \cdot \sum_{j \neq i} w_{ij} l_{j,t} \\ y_{i,t} &= \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \varepsilon_{i,t} + \beta_3 \sum_{j \neq i} w_{ij} y_{i,t} + \beta_4 \sum_{j \neq i} w_{ij} k_{j,t} + \beta_5 \sum_{j \neq i} w_{ij} l_{j,t} \end{aligned} \quad (21)$$

$$\mathbb{E}[\varepsilon_{i,t} \cdot (k_{i,t} \quad l_{i,t} \quad y_{j,t} \quad k_{j,t} \quad l_{j,t})'] = 0_{(5 \times 1)} \quad (22)$$

$$\begin{pmatrix} \hat{\beta}_1 \\ \hat{\beta}_2 \\ \hat{\beta}_3 \\ \hat{\beta}_4 \\ \hat{\beta}_5 \end{pmatrix} = \begin{pmatrix} \beta_1 \\ \beta_2 \\ \delta_0 \\ \xi_0 - \delta_0 \beta_1 \\ \zeta_0 - \delta_0 \beta_2 \end{pmatrix} \quad (23)$$

With 5 structural and 5 reduced-form parameters, this model is identified. The initial static model applies simple time-invariant weights w_{ij} in a group structure, $\mathbf{W}_{g1}$. As has been indicated by the sum of peers $j \neq i$, I adopt a 'leave-one-out' approach in line with the zero-diagonal structure of $\mathbf{W}_{g1}$ described. Intuitively, this is the unweighted average of peer TFP within a spatial ring. This weighting matrix is comparable to many sets of weights applied for the 'Linear-in-Means (LMM)' Model common to the peer effects literature, for instance Moffitt and Caspi (2001). I discussed group assignment in section 4.3. The initial Model (1.) estimates (21), meaning a single group $\mathbf{W}_{g1}$ corresponding to the *pc8* group, assumeing the full vector of error orthogonality implying regressor exogeneity.

$$\Delta y_{i,t} = \Delta \gamma_t + \beta_1 \Delta k_{i,t} + \beta_2 \Delta l_{i,t} + \Delta \varepsilon_{i,t} + \beta_3 \Delta \sum_{j \neq i} w_{ij} y_{i,t} + \beta_4 \Delta \sum_{j \neq i} w_{ij} k_{j,t} + \beta_5 \Delta \sum_{j \neq i} w_{ij} l_{j,t} \quad (24)$$

$$\mathbb{E}[\epsilon_{i,t} \mid \begin{pmatrix} k_{i,t} & l_{i,t} \\ w_{ij} k_{j,t} & w_{ij} l_{j,t} \\ [\mathbf{W}^2]_{(j,\cdot)} \mathbf{k}_t & [\mathbf{W}^2]_{(j,\cdot)} \mathbf{l}_t \\ [\mathbf{W}^3]_{(j,\cdot)} \mathbf{k}_t & [\mathbf{W}^3]_{(j,\cdot)} \mathbf{l}_t \\ \vdots & \vdots \\ [\mathbf{W}^k]_{(j,\cdot)} \mathbf{k}_t & [\mathbf{W}^k]_{(j,\cdot)} \mathbf{l}_t \end{pmatrix}] = 0_{l \times 2} \quad (\text{from 20})$$

Model (2) instruments these groups via $\mathbf{W}^2 \mathbf{x}$, in line with the moment conditions in (20). As an extension in VIII, I regress the multiple, non-overlapping spatial groups at once. I add $\mathbf{W}_{g1}, \mathbf{W}_{g2}, \mathbf{W}_{g3}$, concentric doughnut groups for *pc4* and *ttwa* to run all in a panel OLS regression simultaneously.

I can show algebraically that multiple spatial autoregressors do not change the reflection problem: the moving average inversion's coefficient merely becomes the weighted sum of 3 independent matrices $\theta_g \mathbf{W}_g$. As long as there is sufficient heterogeneity between the weighting matrices, which in these cases is guaranteed by the orthogonality of $\mathbf{W}_g$ matrices to each other, then there is no risk of multicollinearity. Coefficients in the results $\hat{\theta}_1$ for the closest spatial group *pc8* are identical to $\hat{\theta}_0$ in the one-group model. This is an unsurprising result justified by the orthogonality, since the additional regressors do not affect the variation attributable to the $\mathbf{W}_1$ -lagged variables as the regressors with $\mathbf{W}_2, \mathbf{W}_3$ are orthogonal. (Modify equation 18 to include $\sum W^3$ in the inversion term)

TABLE VII
LMM: 1 peer regressor with group
weights, error orthogonality model vs
instrumented

	(1.) <i>y</i>	(2.) <i>y</i>
constant	2.533 (0.044)***	
<i>k</i>	0.261 (0.005)***	0.233 (0.008)***
<i>l</i>	0.650 (0.005)***	0.555 (0.007)***
<i>wg1_y</i>	0.199 (0.004)***	-0.384 (0.177)**
<i>wg1_k</i>	-0.057 (0.003)***	0.118 (0.054)**
<i>wg1_l</i>	-0.118 (0.004)***	0.249 (0.112)**
<i>i</i> fixed effects	✓	
<i>t</i> fixed effects	✓	
Observations	726,283	587,772
R ² (excl. F.E.)	0.3550	0.0012
R ² (Overall)	0.7966	

TABLE VIII
LMM: 3 non-overlapping groups, error
orthogonality vs instrumented
specification

	(3.) <i>y</i>	(4.) <i>y</i>
constant	2.342 (0.095)***	
<i>k</i>	0.261 (0.005)***	0.236 (0.011)***
<i>l</i>	0.649 (0.005)***	0.580 (0.020)***
<i>wg1_y</i>	0.198 (0.004)***	-0.715 (0.596)
<i>wg1_k</i>	-0.058 (0.003)***	0.215 (0.180)
<i>wg1_l</i>	-0.117 (0.004)***	0.462 (0.379)
<i>wg2_y</i>	0.019 (0.006)***	4.312 (3.073)
<i>wg2_k</i>	-0.012 (0.004)***	-1.493 (1.088)

5.3. STATIC DISTANCE DECAY

To improve on the LMM specification, I make a modification where every peer firm is weighted by its influence on the target by the reciprocal of the continuous distance metric calculated in 4.3 $w_{ijt} = f(d)$. This is stylistic of a declining peer influence further away, representing a (lower frequency of social collisions, barriers created via transport and time costs, and an increased difficulty of observation of management practices).

$$z_{it} = \alpha_i + \gamma_t + \beta_0 + \beta_1 \sum_{j \neq i} w_{ijt} z_{jt} + \varepsilon_{it} \quad (25)$$

$$\mathbf{z}_t = (\alpha_i + \gamma_t + \beta_0)\mathbf{1} + \beta_1 \sum_{j \neq i} \Omega_t \mathbf{z}_t + \boldsymbol{\varepsilon}_t \quad (26)$$

$$w_{ijt} \in \Omega_t = \begin{cases} \frac{1}{d_{ij}}, & (1) \text{ gravity} \\ \frac{1}{d_{ij}^2} & (2) \text{ N.E.G.} \\ \exp -d_{ij} \cdot k & (3) \text{ exponential decline} \end{cases} \quad (27)$$

This represents a likely more accurate declining effect of productivity spillover, rather than the special-case group mean where every firm in an enclosed area, for example, the target's postcode, has an equal influence on the target's TFP. In addition, it allows for better identification following Bramoullé et al. (2009). (explain Bramouille2009, patterns of) Ω_t

In essence, the LMM specification only contains 3 non-overlapping groups from its location tags. The distance-decayed specification contains as many non-overlapping groups as firms.

This distance-decay specification revises down the estimate from peers to a an elasticity of 0.168, lower than the results given by the LMM specification. This is likely due to (...)

In addition, I introduce controls (...) (I run a variant where firms which share a location, meaning distance is mechanically 0, are excluded).

TABLE IX
Static panel IV estimation using continuous
distance-decay weighted TFP average of peers

	(1.) <i>y</i>	(2.) <i>y</i>	(3.) <i>y</i>
<i>k</i>	0.271 (0.007)***	0.271 (0.007)***	0.271 (0.007)***
<i>l</i>	0.512 (0.006)***	0.512 (0.006)***	0.512 (0.006)***
<i>wd1_k</i>	0.054 (0.096)		
<i>wd1__l</i>	0.104 (0.184)		
<i>wd1__y</i>	−0.159 (0.286)		
<i>wd2_k</i>		0.038 (0.080)	
<i>wd2__l</i>		0.071 (0.146)	
<i>wd2__y</i>		−0.110 (0.233)	
<i>wd3_k</i>			0.129 (0.113)
<i>wd3__l</i>			0.230 (0.199)
<i>wd3__y</i>			−0.353 (0.309)
Observations	854,192	854,192	854,192
R ²	0.0985	0.1034	0.0980

TABLE X
Static panel IV performance with
deeper lags

	(1.)	(2.)
	y	y
k	0.271 (0.007)***	0.267 (0.007)***
l	0.512 (0.006)***	0.513 (0.006)***
$wd1_k$	0.054 (0.096)	0.250 (0.131)*
$wd1_l$	0.104 (0.184)	0.478 (0.249)*
$wd1_y$	-0.159 (0.286)	-0.740 (0.388)*
Observations	854,192	854,192
R ²	0.0985	-0.1213

6. DYNAMIC MODELS

The previous section’s static model requires a strict factor exogeneity assumption outlined in equation (11) for all firms, including the own-firm effect of the production function. In this section, I use a dynamic model to relax this assumption. I also introduce a vector of temporal regressors: an autoregressor of own-firm GVA as a component of its TFP, and allowing for the past peer TFP components I analysed in the static model to influence current-period TFP in a lagged fashion. The structure of this specification now resembles a vector panel, which I will denote with VAR(p,q)²⁶.

$$z_{i,t} = \alpha_i + \gamma_t + \beta_0 + \sum_{k=1}^p \phi_k y_{i,t-k} + \sum_{k=0}^q \mathbf{z}_{t-k}^{spill} \boldsymbol{\theta}_k + \varepsilon_{i,t} \quad (28)$$

$$y_{i,t} = \alpha_i + \gamma_t + \beta_0 + \beta_1 k_{i,t} + \beta_2 l_{i,t} + \varepsilon_{i,t} + \sum_{k=1}^p \phi_k y_{i,t-k} + \sum_{k=0}^q \left[\delta_k \sum_{j \neq i} w_{ij} y_{j,t} + (\xi_k - \delta_k \beta_1) \cdot \sum_{j \neq i} w_{ij} k_{j,t} + (\zeta_k - \delta_k \beta_2) \cdot \sum_{j \neq i} w_{ij} l_{j,t} \right] \quad (29)$$

There are significant theoretical advantages to introducing the q -lags of the spatial spillover. This specification with both spatial and temporal lags accounts for the possibility that the spillover effect from firm j ’s production factor has a

²⁶ noting that q -lags refers to those on the peer spillover effect, rather than those of a moving average component as is traditional of a VARMA(p,q) specification

lag to impact i . Without including the q lags within $z_{i,t}$, if $\mathbf{z}_{t-k}^{\text{spill}}$ is correlated with $\mathbf{z}_t$, then estimating δ_0 in a static model will have omitted variable bias (OVB) of the lagged effect from the spillover attributed to the current period.

Adding the autoregressor of *gva1* to the specification is highly desirable to a justified decomposition of TFP when including peer effects in the specification. The panel setup with firm fixed effects already accounts for own-firm invariance, and we have shown in the results already given that they account for a significant amount of the variation. In the peer effects setting, the autoregressive lags help control for reverse causality. If $y_{i,t-1}$ is causal for z_{jt} , or feasibly $z_{j,t-1}$ and $\mathbb{E}[z_{j,t-1}, z_{j,t}] \neq 0$, then the presence of $y_{i,t-k}$ as a control helps eliminate that bias. Similarly, theory offers us no clear view on where there could be simultaneity, where variation in $\Delta y_{i,t}$ is driven causally by $\Delta y_{i,t-1}$ and that change in $\Delta y_{i,t}$ in turn drives $\Delta z_{j,t}$. The autoregressive regressor helps control for that. Additionally, the results below suggest the autoregressive parameter coefficient is low, with a log elasticity of 0.005 (significant at the 1% level) in all specifications, suggesting any concerns about reverse causality or simultaneity driven by an AR process are likely minimal. The use of this dynamic regressor improves the plausible exogeneity of $z_{i,j,t}$.

The autoregressive specification requires a return to the one-stage production function with an outcome of GVA, y_{it} . I continue to use the scalar weighted distance TFP metric as the primary regressor of interest z_{jt} . While introducing dynamic lags of

The dynamic panel specification uses a time-varying error orthogonality assumption to find valid identification.

$$\mathbb{E}[\epsilon_{i,t}\epsilon_{j,t}] \tag{30}$$

This might generally be more seen as a more credible assumption than (11) (and we can test for it). This specification can be identified in reduced panel form, which requires first differences to eliminate fixed effects, allowing me to retain the use of firm fixed effects. This follows econometric theory developed by Anderson and Hsiao (1981) and estimator techniques developed in Arellano and Bond (1991) and furthered by Blundell and Bond (1998) which improve efficiency.

6.1. DYNAMIC PANEL IDENTIFICATION

The estimator given in Arellano and Bond (1991) takes the regression equation as given above and allows for endogeneity. Internal instruments of all the endogenous regressors are found, meaning their lagged first differences. Identification is improved in the System GMM approach given in Blundell and Bond (1998) by

also including the first logged, not differenced, lag of the endogenous regressors which meets the usual instrument conditions, as an instrument. It is this System GMM approach that I follow here, so I find the first logged, not differenced, lag of regressor in x_{it} and its corresponding set of first difference lagged instruments, which in practice just start from $\Delta x_{i,\tau-j}$ for any j if $x_{i,\tau}$ is a valid instrument.

I commence finding these valid instruments by assuming the structural specification (7) exhibits no autocorrelation in its error term $\varepsilon_{i,t}$, though I now allow for moderate cross-sectional correlation across firms.

$$\mathbb{E}[\varepsilon_{i,t}\varepsilon_{i,t-1}] = 0, \quad \forall t, t-1 \quad (31)$$

$$\mathbb{E}[x_{i,t}\varepsilon_{i,t}] \neq 0, \quad \exists i \quad (32)$$

$$\mathbb{E}[\varepsilon_{i,t}\varepsilon_{j,t}] \neq 0, \quad \exists i, j \quad (33)$$

$$\mathbb{E}[\varepsilon_t] = 0, \mathbb{E}[\varepsilon_t^2] = \sigma_t^2, \mathbb{E}[\varepsilon_t|\Omega_{t-1}] = 0, \quad \forall i \quad (\text{w.n.}) \quad (34)$$

$$\begin{aligned} x_{i,t} &= \left(k_{i,t} \quad l_{i,t} \quad \sum_{j \neq i} w_{ij,t} z_{j,t} \right) \\ \Delta x_{i,t} &= \left(\Delta k_{i,t} \quad \Delta l_{i,t} \quad \Delta \sum_{j \neq i} w_{ij,t} z_{j,t} \right) \end{aligned}$$

I firstly relax the strict exogeneity assumption of the standard factors to weak exogeneity. There are two approaches to this: capital and labour could be fully flexible inputs, meaning they are optimised as part of the decision set at time t , of which the TFP error shock is a component. Or, capital and labour can be assumed to be predetermined: capital faces some time-to-build constraint where each firm allocates investment in the previous period based on the limited information available then, Ω_{t-1} . A similar sticky decision pattern is assumed of labour, perhaps through job searching and hiring frictions. I assume a new optimal firm decision on capital based on information, denoted by Ω_t which includes $\varepsilon_{i,t}$ for its respective t . This approach allows the discovery of valid instruments which are exogenous to $\varepsilon_{i,t}$ and $\Delta \varepsilon_{i,t}$. I justify an exclusion restriction for $\Delta k_{i,t-j} \forall j > 1$, as it is predetermined, and $\Delta l_{i,t-k}, k > 2$, as it is flexible.

$$K_{i,t} = I_{i,t} + dK_{i,t-1} \quad (35)$$

$$I_{i,t} = \mathbb{E}[I_{i,t}^*|\Omega_{t-1}] \quad (36)$$

$$L_{i,t} = \mathbb{E}[L_{i,t}^*|\Omega_{t-1}] \quad (37)$$

$$K_{i,t}, L_{i,t} \in \Omega_{t-1} \quad (38)$$

$$\mathbb{E}[\varepsilon_{i,t}|\Omega_{t-1}] = 0$$

$$\mathbb{E}[\varepsilon_{i,t} \begin{pmatrix} \mathbf{k}_t \\ \mathbf{l}_t \end{pmatrix}] = 0_{(2 \times 1)}, \quad \forall i \quad (39)$$

$$\Delta y_{i,t} = \Delta \gamma_t + \beta_1 \Delta k_{i,t} + \beta_2 \Delta l_{i,t} + \delta_0 \sum_{j \neq i} w_{ij} \Delta z_{j,t} + \Delta \varepsilon_{i,t} \quad (40)$$

$$K_{i,t} = I_{i,t} + dK_{i,t-1} \quad (41)$$

$$I_{i,t} = \mathbb{E}[I_{i,t}^* \mid \Omega_{t-1}] \quad (42)$$

$$L_{i,t} = \mathbb{E}[L_{i,t}^* \mid \Omega_t] \quad (43)$$

$$\varepsilon_{i,t} \in \Omega_t$$

$$\implies K_{i,t} \propto \epsilon_{t-1}$$

$$\implies L_{i,t} \propto \epsilon_t$$

$$\Delta \varepsilon_{i,t} = \varepsilon_{i,t} - \varepsilon_{i,t-1}$$

$$\Delta k_{i,t} = k_{i,t} - k_{i,t-1} \propto \varepsilon_{i,t-1} \varepsilon_{i,t-2}$$

$$\implies \mathbb{E}[\Delta k_{i,t} \Delta \epsilon_t] \neq 0$$

$$\implies \mathbb{E}[\Delta k_{i,t-1} \Delta \epsilon_t] = 0, \mathbb{E}[k_{i,t-1} \varepsilon_t] = 0 \quad (44)$$

$$\Delta l_{i,t} = l_{i,t} - l_{i,t-1} \propto \varepsilon_{i,t}, \varepsilon_{i,t-1}$$

$$\implies \mathbb{E}[\Delta l_{i,t-2} \Delta \epsilon_t] = 0, \mathbb{E}[l_{i,t-2} \varepsilon_t] = 0 \quad (45)$$

Devising an internal instrument requires a similar evaluation of the components of $y_{j,t}$ as in the static problem. There is a dynamic corollary to the static derivation

of the endogenous term $y_{i,t}$.

$$\begin{aligned} \mathbf{y}_t &= \boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \delta_0 \mathbf{W} \mathbf{y}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t + \boldsymbol{\varepsilon}_t \\ &\quad + \sum_{m=1}^p (\phi_m \mathbb{I} + \delta_m \mathbf{W}) \mathbf{y}_{t-m} + \sum_{m=1}^p (\xi_m - \delta_m \beta_1) \mathbf{W} \mathbf{k}_{t-m} + \sum_{m=1}^p (\zeta_m - \delta_m \beta_2) \mathbf{W} \mathbf{l}_{t-m} \end{aligned} \quad (46)$$

$$\begin{aligned} (\mathbb{I} - \delta_0 \mathbf{W}) \mathbf{y}_t &= \boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t \\ &\quad + \sum_{m=1}^p (\phi_m \mathbb{I} + \delta_m \mathbf{W}) \mathbf{y}_{t-m} \\ &\quad + \sum_{m=1}^p \mathbf{W} \left[(\xi_m - \delta_m \beta_1) \mathbf{k}_{t-m} + (\zeta_m - \delta_m \beta_2) \mathbf{l}_{t-m} \right] + \boldsymbol{\varepsilon}_t \end{aligned} \quad (47)$$

$$\begin{aligned} \mathbf{y}_t &= \sum_{k=0}^{\infty} \delta_0^k \mathbf{W}^k \left(\boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t \right. \\ &\quad + \sum_{m=1}^p (\phi_m \mathbb{I} + \delta_m \mathbf{W}) \mathbf{y}_{t-m} \\ &\quad \left. + \sum_{m=1}^p \mathbf{W} \left[(\xi_m - \delta_m \beta_1) \mathbf{k}_{t-m} + (\zeta_m - \delta_m \beta_2) \mathbf{l}_{t-m} \right] + \boldsymbol{\varepsilon}_t \right) \end{aligned} \quad (48)$$

$$\begin{aligned} y_{j,t} &= \cdots + \underbrace{\sum_{k=0}^{\infty} [\delta_0^k \mathbf{W}^{k+1}]_{(j,)} \begin{pmatrix} \mathbf{k}_t & \mathbf{l}_t \end{pmatrix} \begin{pmatrix} \xi_0 \\ \zeta_0 \end{pmatrix}}_{\text{contemporaneous exogenous}_j} \\ &\quad + \underbrace{\sum_{m=1}^p \sum_{k=0}^{\infty} [\phi_m \delta_0^k \mathbf{W}^k + \delta_m \delta_0^k \mathbf{W}^{k+1}]_{(j,)} \mathbf{y}_{t-m}}_{\text{entangled historical inertia \& peer effects}_j} \\ &\quad + \underbrace{\sum_{m=1}^p \sum_{k=0}^{\infty} [\delta_0^k \mathbf{W}^{k+1}]_{(j,)} \begin{pmatrix} \mathbf{k}_{t-m} & \mathbf{l}_{t-m} \end{pmatrix} \begin{pmatrix} \xi_m - \delta_m \beta_1 \\ \zeta_m - \delta_m \beta_2 \end{pmatrix}}_{\text{historical exogenous network effects}_j} \\ &\quad + \underbrace{\sum_{k=0}^{\infty} [\delta_0^k \mathbf{W}^k]_{(j,)} \cdot \boldsymbol{\varepsilon}_t}_{\text{error transformation}_j} \end{aligned} \quad (49)$$

For system GMM, I need to show that the reduced-form first difference

regressors are exogenous. The first-order autoregressor, $\Delta \ln(y_{it})$ is endogenous.

$$\Delta y_{i,t} = \Delta \gamma_t + \beta_1 \Delta k_{i,t} + \beta_2 \Delta l_{i,t} + \sum_{k=1}^p \phi_k \Delta y_{i,t-k} + \delta_0 \sum_{j \neq i} w_{ij,t} \Delta z_{j,t} + \Delta \varepsilon_{i,t} \quad (50)$$

$$\Delta \varepsilon_{i,t} = \varepsilon_{i,t} - \varepsilon_{i,t-1} \quad (51)$$

$$\begin{aligned} \Delta y_{i,t-1} &= \dots + \Delta \varepsilon_{i,t-1} \\ &= \dots + \varepsilon_{i,t-1} - \varepsilon_{i,t-2} \\ &\implies \mathbb{E}[\Delta y_{i,t-1} \Delta \varepsilon_{i,t}] \neq 0 \\ \Delta y_{i,t-2} &= \dots + \varepsilon_{i,t-2} - \varepsilon_{i,t-3} \\ &\implies \mathbb{E}[\Delta y_{i,t-1} \Delta \varepsilon_{i,t}] = 0 \end{aligned}$$

This is confirmed by the Anderson-Rubin (AR(1)) test in my results, which rejects the null hypothesis at the 1% level for all models, suggesting that first-order lags of log GVA are a weak instrument (Why? Shouldn't they fail exclusion restriction, not instrument correlation). In addition, I assume that capital, $k_{i,t}$ is pre-determined, as investment is chosen one period ahead, in line with standard Perpetual Inventory Method approaches²⁷ (Review predetermined material. Additionally, explain the logic of instrumenting for capital)

To overcome this endogeneity, I introduce deeper autoregressive lags as instrumental variables, as proposed by Anderson and Hsiao (1981). I use 3 autoregressive instrument lags starting from $t - 2$: $\ln(y_{i,t-2})$, $\ln(y_{i,t-2})$, $\ln(y_{i,t-p-3})$ for log GVA, and 2 lags for capital $\ln(k_{i,t-p-1})$, $\ln(k_{i,t-p-2})$. An Anderson-Rubin (AR(2)) test shows that deep lags are a valid instrument for log GVA. The test applied to the second lag of $\ln(gva_1)$ fails to reject the null hypothesis of for any specification, so I assume it is a valid instrument.

Additionally, using multiple deep lags allows for overidentification: in this basic AR(1) specification, I have $k = 4$ regressors and $l = 7$ instruments. I could increase this. Fame is rich on the time dimension, with up to 19 lags at most for a firm, and a median of 6 lags, so I could safely provide more lags of regressors as instruments. Further lags is likely to have a decreasing marginal effect on explanatory power and additionally ((...))

(Discuss introducing a new weighting method using past firm similarity.)

I estimate the equation fulfilling the vector of moment conditions, (52) via

²⁷ Noting that this is ordinarily done on a quarterly basis, however, due to data limitations we adopt the same thing here even though Fame provides observations annually.

GMM.

$$\mathbb{E} \left[\Delta \varepsilon_{it} \cdot \begin{pmatrix} \Delta \ln(y_{i,t-2}) \\ \Delta \ln(y_{i,t-3}) \\ \Delta \ln(y_{i,t-4}) \\ \Delta \ln(k_{i,t-2}) \\ \Delta \ln(k_{i,t-3}) \\ \Delta \sum_j w_{ijt} z_{jt} \end{pmatrix} \right] = 0 \quad (52)$$

(I should introduce a control (basically a diff-in-diff?) of peers from the same industry across the country (outside the spatial bubble).)

Finally, a Sargan-Hansen J-test is implemented to check if these instruments are over-identified, meaning the moment conditions cannot be fulfilled with 95% confidence. In all models, the J-test fails to reject the null hypothesis, meaning the model's moment conditions are jointly correct.

(!!!!) Following above reasoning, lags of $\Delta \sum_{j \neq i} w_{i,j,t} z_{j,t}$ of a higher order than 2 are exogenous to my reduced-form specification. However,

6.2. INSTRUMENTAL IDENTIFICATION UNDER ERROR AUTOCORRELATION

I appear to have strong identification given assumptions (31) and (33). The instruments above exhibit strong correlation under Anderson-Rubin tests and exclusion restriction has been derived. However, there exists a niche case of diagonally-correlated errors, namely despite (31) and (33), I ought to consider the following:

$$\mathbb{E}[\varepsilon_{i,t} \varepsilon_{j,t-k}] \neq 0, \quad \exists i, j, k \quad (53)$$

This is not as implausible as it may appear due to this analysis' peer effects setting. There may be some local omitted shock ν_t , that impacts peer firm A's TFP via ε_t and impacts target firm B's TFP after a lag via ε_{t-k} . This could be a price shock with random adjustment (or)

Additionally, relaxing (31) to allow for weak error autocorrelation between limited $\varepsilon_{i,t}$ and $\varepsilon_{i,t-k}$ for limited k proves a similar problem.

(Firstly, I test for error autocorrelation.)

TABLE XI
Dynamic panel: baseline instrumental specification

	(1.)	(2.)	(3.)
	y	y	y
constant	−0.864 (0.697)	−0.114 (0.869)	−0.673 (0.793)
y_{t-1}	−0.000 (0.017)	0.000 (0.019)	−0.001 (0.019)
k	0.431 (0.070)***	0.363 (0.080)***	0.367 (0.085)***
l	0.597 (0.112)***	0.508 (0.122)***	0.696 (0.152)***
$wd1_y$	−0.108 (0.383)	−0.293 (0.414)	0.659 (0.780)
$wd1_y_{t-1}$	0.783 (0.243)**	0.819 (0.252)**	0.333 (0.476)
$wd1_k$	0.048 (0.288)	0.226 (0.286)	−0.469 (0.428)
$wd1_{k,t-1}$	−0.286 (0.165)	−0.322 (0.160)*	0.029 (0.259)
$wd1_l$	0.527 (0.366)	0.478 (0.351)	0.179 (0.638)
$wd1_l_{t-1}$	−0.722 (0.237)**	−0.632 (0.234)**	−0.554 (0.397)
y_{t-2}		0.003 (0.002)*	
Hansen Test	X (0.644)	X (0.864)	X (0.844)
AR(1) Test	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***
AR(2) Test	✓ (0.033)**	X (0.051)*	X (0.209)
Instruments	45	45	36
i fixed effects	✓	✓	✓
t fixed effects	✓	✓	✓
Observations	686,164	606,795	686,164

Hansen J-test for over-identification: ‘X’ indicates insufficient evidence at the 95% level to reject the null-hypothesis that the model is identified.

Anderson-Rubin AR(1) test: ‘✓’ indicates the use of single-order lags is a weak instrument, as expected from a first-differencing SystemGMM approach.

Anderson-Rubin AR(2) test: ‘X’ indicates insufficient evidence to reject the use of second-order lags due to their being a weak instrument, as expected from the first-differencing with lags greater than 2nd-order to overcome contemporaneous endogeneity. ‘checkmark’ indicates some instruments used were weak.

TABLE XII
Dynamic panel: deeper vector regressor lags

	(1.)	(2.)	(3.)	(4.)	(5.)
	y	y	y	y	y
constant	−0.257 (0.299)	−0.307 (0.791)	−0.812 (0.736)	−1.765 (1.034)	−1.288 (0.993)
y_{t-1}	0.002 (0.002)	0.002 (0.002)	0.001 (0.002)	0.004 (0.002)*	0.004 (0.002)
k	0.324 (0.043)***	0.353 (0.041)***	0.330 (0.051)***	0.190 (0.088)*	0.202 (0.078)**
l	0.694 (0.070)***	0.678 (0.064)***	0.685 (0.073)***	0.669 (0.123)***	0.730 (0.102)***
$wd1_y$	1.118 (0.094)***	1.007 (0.222)***	1.105 (0.231)***	0.832 (0.308)**	0.804 (0.342)*
$wd1_k$	−0.399 (0.065)***	−0.344 (0.100)***	−0.328 (0.169)	0.197 (0.324)	0.172 (0.300)
$wd1_l$	−0.707 (0.089)***	−0.641 (0.137)***	−0.695 (0.169)***	−0.686 (0.344)*	−0.792 (0.364)*
$wd1_y_{t-1}$		0.003 (0.008)	−0.001 (0.011)	−0.001 (0.016)	0.001 (0.018)
$wd1_{k,t-1}$		−0.004 (0.004)	−0.005 (0.009)	−0.036 (0.020)	−0.032 (0.018)
$wd1_l_{t-1}$		−0.002 (0.006)	0.001 (0.010)	0.015 (0.025)	0.016 (0.026)
$wd1_y_{t-2}$			−0.001 (0.005)	0.000 (0.008)	−0.004 (0.010)
$wd1_{k,t-2}$			−0.001 (0.004)	−0.016 (0.009)	−0.011 (0.009)
$wd1_l_{t-2}$			0.000 (0.005)	0.007 (0.012)	0.009 (0.013)
$wd1_y_{t-3}$				−0.002 (0.005)	−0.002 (0.006)
$wd1_{k,t-3}$				−0.006 (0.004)	−0.004 (0.004)
$wd1_l_{t-3}$				0.004 (0.006)	0.002 (0.007)
$wd1_y_{t-4}$					0.002 (0.005)
$wd1_{k,t-4}$					−0.001 (0.003)
$wd1_l_{t-4}$					−0.002 (0.005)
Hansen Test	X (0.678)	✓ (0.010)** 43	✓ (0.007)***	✓ (0.042)**	✓ (0.001)***
AR(1) Test	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***
AR(2) Test	X	X	X	X	X

TABLE XIII
Dynamic panel: deeper autoregressive lags

	(1.) <i>y</i>	(2.) <i>y</i>	(3.) <i>y</i>	(4.) <i>y</i>
constant	−0.257 (0.299)	−0.752 (1.173)	−0.667 (1.216)	0.261 (0.895)
y_{t-1}	0.002 (0.002)	0.008 (0.003)*	0.008 (0.004)*	0.016 (0.004)***
k	0.324 (0.043)***	0.171 (0.086)*	0.172 (0.086)*	0.199 (0.073)**
l	0.694 (0.070)***	0.685 (0.125)***	0.677 (0.128)***	0.568 (0.099)***
$wd1_y$	1.118 (0.094)***	0.488 (0.339)	0.473 (0.344)	0.470 (0.369)
$wd1_k$	−0.399 (0.065)***	0.386 (0.308)	0.383 (0.306)	0.164 (0.284)
$wd1_l$	−0.707 (0.089)***	−0.667 (0.361)	−0.651 (0.365)	−0.434 (0.305)
y_{t-2}		0.003 (0.002)	0.003 (0.002)	0.007 (0.002)***
$wd1_y_{t-1}$		0.014 (0.018)	0.015 (0.019)	0.022 (0.018)
$wd1_y_{t-2}$		0.004 (0.009)	0.005 (0.009)	0.005 (0.009)
$wd1_y_{t-3}$		−0.000 (0.005)	−0.000 (0.005)	0.001 (0.005)
$wd1_{k,t-1}$		−0.042 (0.019)*	−0.042 (0.019)*	−0.022 (0.016)
$wd1_{k,t-2}$		−0.018 (0.009)	−0.018 (0.009)	−0.007 (0.008)
$wd1_{k,t-3}$		−0.007 (0.004)	−0.007 (0.004)	−0.003 (0.004)
$wd1_l_{t-1}$		0.018 (0.025)	0.017 (0.025)	−0.002 (0.020)
$wd1_l_{t-2}$		0.008 (0.012)	0.008 (0.012)	0.001 (0.010)
$wd1_l_{t-3}$		0.005 (0.006)	0.005 (0.006)	−0.002 (0.005)
y_{t-3}			0.000 (0.001)	0.003 (0.001)*
y_{t-4}				0.004 (0.001)**
Hansen Test	X (0.678)	✓ (0.020)** 44	✓ (0.012)**	X (0.106)
AR(1) Test	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***
AR(2) Test	X	X	X	X

7. EXTENSIONS

7.1. ALTERNATIVE DATA SOURCES FOR LOCATION DATA

7.2. SELECTION OF PARAMETERS

7.3. NETWORK FIXED EFFECTS

Firm and time fixed effects in a network setting may be considered insufficient, A local demand shocks, which can be thought of as a *correlated* shock $\mathbb{E}[\varepsilon_{i,t,g}\varepsilon_{i,t,h}] \neq 0$, where (g, h) are some close memberes of a network or group within the interactions matrix $\mathbf{W}$. This is a phenomenon specific to peer effects analysis and differs from the usual omitted variable bias (OVB) that impacts all firms discussed in standard econometric theory; here, specific identity of a group or network exposes members to a certain third-party common shock, for which a researcher should introduce controls. Manski (1993) labels these *correlated effects*. Econometrically, a *correlated* shock is some omitted variable that hits both error terms, such as a demand shock in the local area $v_{i,t} \rightarrow \varepsilon_{i,t}, \varepsilon_{j,t}$. This would simultaneously lift the recorded profit and GVA, of both a target and its peers. Another instance could be an exogenous change in the mutual supply chain of a firm and its peer, which is most likely to occur when i, j share an industry. A negative price cost shock, for instance, would lower the cost of inputs for both firms and be accounted for in the short run by increased GVA for the value of inputs indexed using macroeconomic data.

It may be considered an arbitrary choice what is a sufficiently ‘local’ region to capture these effects and model them as a variable correlated with regressors. Fortunately, econometric theory through Bramoullé et al. (2009), discusses the use of *local* network fixed effects which can be applied to existing $\mathbf{W}$ weighting matrices. Network-fixed effect reduced-form regressions are estimated by taking $(\mathbb{I} - \mathbf{W})$ transformations of all parameters: dependent variable, regressors, and instruments. In my analysis, this means the existing applied weighting matrices $\mathbf{W}_g, \mathbf{W}_d \dots$ for static network and group approaches respectively. A corollary for *global* network fixed effects is the use of a similar transformation $(\mathbb{I} - \mathbf{V})$ which follows the assignment rule:

$$w_{ij} \in \mathbf{V} = \begin{cases} 0, & \text{if } w_{ij,l} \neq 0, \exists l < k \\ \frac{1}{s_g}, & \text{else if } (i, j) \in g \\ 0, & \text{otherwise} \end{cases}$$

This shares notable similarities with the group matrix $\mathbf{W}_g$: it is a ‘leave-on-in’, average of peers group transformation, demeaned. For application to the group

model, $\mathbf{V}$ and $\mathbf{W}_g$ are near-identical, except for the use of s_g instead of s_{g-1} as the denominator for $\mathbf{V}$, and a target's firm variable of interest is taken as part of the weighted average of its own peers. In extensions on section 4.3, it is n_g is calculated at the *ttwa* level to align with all firms within the mathematical 'network' of the set of distance-weighted firms.

As briefly laid out in section 4, identification holds through instruments $(\mathbb{I} - \mathbf{W})\mathbf{W}^2x$ on the endogenous $(\mathbb{I} - \mathbf{W})\mathbf{W}y$ regressor under certain conditions of $\mathbf{W}$. The formal test is linear independence of the $\mathbf{I}, \mathbf{W}, \mathbf{W}^2, \mathbf{W}^3$ and the same limits to computational feasibility apply to this higher-order $(n \times n)$ set of matrices evaluation. Nevertheless, Bramoullé et al. (2009) suggests that more than $s_g \geq 3$ distinct group sizes assumed to be exogenous, or $s_d \geq 3$ network diameter should be sufficient conditions to the linear independence of the high-order matrices. The equivalent argument applies for *global* network fixed effects: they overcome the 'Reflection Problem' via the instrument $(\mathbb{I} - \mathbf{V})\mathbf{W}^2x$ and its higher-order equivalents.

$$(\mathbb{I} - \mathbf{W})\mathbf{y}_t = \gamma_t\boldsymbol{\iota} + \beta_0 + \beta_1(\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{k}_t + \beta_2(\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{l}_t + \beta_3(\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{y}_t \quad (54)$$

$$+ \beta_4(\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{k}_t + \beta_5(\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{l}_t + (\mathbb{I} - \mathbf{W})\boldsymbol{\varepsilon}_t$$

$$0_{1 \times 2} = \mathbb{E}[\varepsilon_{i,t} \left((\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{k}_t \quad (\mathbb{I} - \mathbf{W})\mathbf{W}\mathbf{l}_t \right)]$$

$$(\mathbb{I} - \mathbf{V})\mathbf{y}_t = \gamma_t\boldsymbol{\iota} + \beta_0 + \beta_1(\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{k}_t + \beta_2(\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{l}_t + \beta_3(\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{y}_t \quad (55)$$

$$+ \beta_4(\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{k}_t + \beta_5(\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{l}_t + (\mathbb{I} - \mathbf{V})\boldsymbol{\varepsilon}_t$$

$$0_{1 \times 2} = \mathbb{E}[\varepsilon_{i,t} \left((\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{k}_t \quad (\mathbb{I} - \mathbf{V})\mathbf{W}\mathbf{l}_t \right)]$$

Notice the absence of a firm fixed effect component α_i in equations (54) and (55) and the corresponding lack of need to first-difference the reduced form equation. This is due to the risk of applying of both firm and network fixed effects simultaneously to be multicollinear. I run the extension models (54) and (55) for the static group and network weights $\mathbf{W} \in \mathbf{W}_{g1}, \mathbf{W}_{d1}$. Despite efforts with the above, I find that all specifications failed the Sargan-Hansen J test, which implies over-identifying restrictions on instruments such that the GMM-CuE estimator could not converge to the required zero moment conditions. Estimates also suffer from multicollinearity anyway, giving parameter coefficients which fall far out of the expected range of $|\delta_0|, |\xi_0|, |\zeta_0| < 1$. Unstable estimates such as these should not be considered consistent so I do not report them here.

Further analysis could investigate this issue more thoroughly and successfully

implement these network fixed effects as the key to stripping out local demand effects or supply shocks.

7.4. DRIVERS OF THE STRENGTH OF SPILLOVER

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A. DATA SCIENCE BEHIND THE CREATION AND CALCULATION OF
THE W INTERACTIONS MATRIX

TABLE XIV
Variable names from transforming $\mathbf{y}_t$ and $\mathbf{x}_t$ regressors via weighting matrix $\mathbf{W}$

		endogenous	exogenous	
	Matrix product	gva	capital	labour
<i>Groups</i>				
regressors	$\mathbf{W}_{g1}$	wg1_y	wg1_k	wg1_l
	$\mathbf{W}_{g2}$	wg2_y	wg2_k	wg2_l
	$\mathbf{W}_{g3}$	wg3_y	wg3_k	wg3_l
instruments	$\mathbf{W}_{g1}^2$		w2g1_k	w2g1_l
	$\mathbf{W}_{g1}\mathbf{W}_{g2}$		wg1wg2_k	wg1wg2_l
	$\mathbf{W}_{g2}\mathbf{W}_{g3}$		wg2wg3_k	wg2wg3_l
	$\mathbf{W}_{g3}\mathbf{W}_{g1}$		wg3wg1_k	wg3wg1_l
	$\mathbf{W}_{g2}\mathbf{W}_{g1}$		wg2wg1_k	wg2wg1_l
	$\mathbf{W}_{g3}\mathbf{W}_{g2}$		wg3wg2_k	wg3wg2_l
	$\mathbf{W}_{g3}\mathbf{W}_{g1}$		wg3wg1_k	wg3wg1_l
local network FE	$(\mathbb{I} - \mathbf{W}_{g1})\mathbf{W}_{g1}^2$		(i-wg1)w2g1_k	(i-wg1)w2g1_l
global network FE	$(\mathbb{I} - \mathbf{V}_{g1})\mathbf{W}_{g1}^2$		(i-vg1)w2g1_k	(i-vg1)w2g1_l
<i>Network</i>				
regressors	$\mathbf{W}_{d1}$	wd1_y	wd1_k	wd1_l
	$\mathbf{W}_{d2}$	wd2_y	wd2_k	wd2_l
	$\mathbf{W}_{d3}$	wd3_y	wd3_k	wd3_l
instruments	$\mathbf{W}_{d1}^2$		w2d1_k	w2d1_l
	$\mathbf{W}_{d2}^2$		w2d2_k	w2d2_l
	$\mathbf{W}_{d3}^2$		w2d3_k	w2d3_l
	$\mathbf{W}_{d1}^3$		w3d1_k	w3d1_l
	$\mathbf{W}_{d1}^4$		w3d2_k	w3d2_l
local network FE	$(\mathbb{I} - \mathbf{W}_{d1})\mathbf{W}_{d1}^4$		w3d3_k	w3d3_l
global network FE	$(\mathbb{I} - \mathbf{V}_{d1})\mathbf{W}_{d1}^4$		w4d1_k	w4d1_l

Total: 51 new variables to be created, for a total of 53 columns in a linked table.

B. IDENTIFICATION UNDER DIFFERING SPILLOVER ASSUMPTIONS

B.1. FULL DERIVATION UNDER THE 3-FACTOR SPILLOVER MODEL

$$\begin{aligned}
\mathbf{y}_t &= \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \left(\boldsymbol{\alpha} + (\gamma_t + \beta_0) \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t \right. \\
&\quad \left. + (\xi_0 - \delta_0 \beta_1) \mathbf{W} \mathbf{k}_t + (\zeta_0 - \delta_0 \beta_2) \mathbf{W} \mathbf{l}_t + \boldsymbol{\varepsilon}_t \right) \\
&= \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k (\gamma_t + \beta_0) \boldsymbol{\iota} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \\
&\quad + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \beta_1 \mathbf{k}_t + (\xi_0 - \delta_0 \beta_1) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{k}_t \\
&\quad + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \beta_2 \mathbf{l}_t + (\zeta_0 - \delta_0 \beta_2) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{l}_t \\
&= \frac{\gamma_t + \beta_0}{1 - \theta_0} \boldsymbol{\iota} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \\
&\quad + \beta_1 \mathbf{k}_t + \sum_{k=1}^{\infty} \theta_0^k \mathbf{W}^k \beta_1 \mathbf{k}_t + (\xi_0 - \delta_0 \beta_1) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{k}_t \\
&\quad + \beta_2 \mathbf{l}_t + \sum_{k=1}^{\infty} \theta_0^k \mathbf{W}^k \beta_2 \mathbf{l}_t + (\zeta_0 - \delta_0 \beta_2) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{l}_t \\
&= \frac{\gamma_t + \beta_0}{1 - \theta_0} \boldsymbol{\iota} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \\
&\quad + \beta_1 \mathbf{k}_t + \theta_0 \beta_1 \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{k}_t + (\xi_0 - \delta_0 \beta_1) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{k}_t \\
&\quad + \beta_2 \mathbf{l}_t + \theta_0 \beta_2 \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{l}_t + (\zeta_0 - \delta_0 \beta_2) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{l}_t \\
&= \frac{\gamma_t + \beta_0}{1 - \theta_0} \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \\
&\quad + (\xi_0 - \delta_0 \beta_1 + \theta_0 \beta_1) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{k}_t \\
&\quad + (\zeta_0 - \delta_0 \beta_2 + \theta_0 \beta_2) \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{l}_t
\end{aligned}$$

B.2. NON-IDENTIFICATION UNDER THE TFP-ONLY SPILLOVER MODEL

$$\begin{aligned}
\mathbf{y}_t &= \boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \theta_0 \mathbf{W} \mathbf{y}_t + \xi_0 \mathbf{W} \cdot (\beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t) + \boldsymbol{\varepsilon}_t \\
&= (\mathbb{I} - \theta_0 \mathbf{W})^{-1} (\boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \xi_0 \mathbf{W} \cdot (\beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t) + \boldsymbol{\varepsilon}_t) \\
&= \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \cdot (\boldsymbol{\alpha} + \gamma_t \boldsymbol{\iota} + \beta_0 \boldsymbol{\iota} + \beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t + \xi_0 \mathbf{W} \cdot (\beta_1 \mathbf{k}_t + \beta_2 \mathbf{l}_t) + \boldsymbol{\varepsilon}_t) \\
&= \frac{\gamma_t + \beta_0}{1 - \theta_0} \boldsymbol{\iota} + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\alpha} + \beta \mathbf{x}_t + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \beta \cdot (\theta_0 + \xi_0) + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t \\
y_{j,t} &= \cdots + \underbrace{\sum_{k=0}^{\infty} [\theta_0^k \mathbf{W}^{k+1}]_{(j, \cdot)} \begin{pmatrix} \mathbf{k}_t & \mathbf{l}_t \end{pmatrix} \begin{pmatrix} \beta_1 \\ \beta_2 \end{pmatrix} \cdot (\theta_0 + \xi_0)}_{\text{exogenous}_j} + \underbrace{\sum_{k=0}^{\infty} [\theta_0^k \mathbf{W}^k]_{(j, \cdot)} \cdot \boldsymbol{\varepsilon}_t}_{\text{error transformation}_j} \\
&\quad \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k (\mathbf{x}_t \beta + \mathbf{W} \mathbf{x}_t \beta \cdot \xi_0) \\
&= \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \mathbf{x}_t \beta + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \beta \cdot \xi_0 \\
&= \mathbf{x}_t \beta + \sum_{k=1}^{\infty} \theta_0^k \mathbf{W}^k \mathbf{x}_t \beta + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \beta \cdot \xi_0 \\
&= \mathbf{x}_t \beta + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \beta \cdot \theta_0 + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \beta \cdot \xi_0 \\
&= \mathbf{x}_t \beta + \left(\sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \right) \beta \cdot (\theta_0 + \xi_0) \\
\mathbf{y}_t &= \frac{\alpha}{1 - \theta_0} \boldsymbol{\iota} + \mathbf{x}_t \beta + \left(\sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^{k+1} \mathbf{x}_t \right) \beta \cdot (\theta_0 + \xi_0) + \sum_{k=0}^{\infty} \theta_0^k \mathbf{W}^k \boldsymbol{\varepsilon}_t
\end{aligned}$$

C. DYNAMIC PANEL: ALTERNATIVE SPECIFICATIONS

TABLE XV
Dynamic panel: higher-order autoregressive lags

	(1) $\ln(gva_1)$	(2) $\ln(gva_1)$	(3) $\ln(gva_1)$	(4) $\ln(gva_1)$
constant	1.371 (0.134)***	1.446 (0.843)	0.208 (2.578)	0.459 (2.844)
$\ln(gva_1)_{t-1}$	0.005 (0.001)***	0.019 (0.104)	0.128 (0.295)	-0.020 (0.256)
$\ln(gva_1)_{t-2}$		0.002 (0.003)	0.004 (0.101)	0.094 (0.300)
$\ln(gva_1)_{t-3}$			-0.001 (0.006)	0.036 (0.162)
$\ln(gva_1)_{t-4}$				-0.003 (0.004)
$\ln(employees)$	0.696 (0.038)***	0.762 (0.097)***	0.736 (0.149)***	0.659 (0.323)*
$\ln(total_assets)$	0.259 (0.041)***	0.190 (0.090)*	0.248 (0.121)*	0.291 (0.305)
tfp_wav_1	0.503 (0.028)***	0.548 (0.059)***	0.508 (0.076)***	0.466 (0.184)*
Hansen Test	X (0.417)	X (0.922)	X (0.881)	X (0.826)
AR(1) Test	✓ (0.000)***	✓ (0.000)***	X (0.140)	X (0.212)
AR(2) Test	X (0.746)	X (0.925)	X (0.802)	X (0.668)
i fixed effects	✓	✓	✓	✓
t fixed effects	✓	✓	✓	✓
Observations	713,339	603,058	511,396	433,185

TABLE XVI
Dynamic panel: higher-order regressor lags 1-5

	(1) $\ln(gva_1)$	(2) $\ln(gva_1)$	(3) $\ln(gva_1)$	(4) $\ln(gva_1)$	(5) $\ln(gva_1)$
constant	1.124 (0.113)***	0.956 (0.101)***	0.743 (0.093)***	0.584 (0.091)***	0.543 (0.094)***
$\ln(gva_1)_{t-1}$	0.002 (0.001)*	0.003 (0.001)***	0.005 (0.001)***	0.005 (0.001)***	0.005 (0.001)***
tfp_wav_{1t-1}	0.066 (0.006)***	0.077 (0.007)***	0.069 (0.007)***	0.062 (0.007)***	0.061 (0.008)***
tfp_wav_{1t-2}		0.052 (0.005)***	0.055 (0.006)***	0.050 (0.007)***	0.051 (0.007)***
tfp_wav_{1t-3}			0.043 (0.005)***	0.048 (0.006)***	0.049 (0.006)***
tfp_wav_{1t-4}				0.030 (0.005)***	0.038 (0.006)***
tfp_wav_{1t-5}					0.028 (0.005)***
$\ln(employees)$	0.686 (0.036)***	0.695 (0.038)***	0.670 (0.040)***	0.644 (0.044)***	0.665 (0.052)***
$\ln(total_assets)$	0.270 (0.040)***	0.260 (0.042)***	0.287 (0.045)***	0.317 (0.049)***	0.294 (0.057)***
tfp_wav_1	0.508 (0.028)***	0.514 (0.029)***	0.492 (0.030)***	0.469 (0.033)***	0.480 (0.038)***
Hansen Test	X (0.492)	X (0.968)	X (0.453)	X (0.084)*	X (0.080)*
AR(1) Test	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***
AR(2) Test	X (0.279)	X (0.612)	X (0.801)	X (0.854)	X (0.729)
i fixed effects	✓	✓	✓	✓	✓
t fixed effects	✓	✓	✓	✓	✓
Observations	713,339	603,058	511,396	433,185	365,908

TABLE XVII
Dynamic panel: higher-order regressor lags 6-10

	(1) $\ln(gva_1)$	(2) $\ln(gva_1)$	(3) $\ln(gva_1)$	(4) $\ln(gva_1)$	(5) $\ln(gva_1)$
constant	0.421 (0.082)***	0.388 (0.081)***	0.270 (0.077)***	0.199 (0.083)*	0.116 (0.093)
$\ln(gva_1)_{t-1}$	0.004 (0.001)***	0.004 (0.001)**	0.003 (0.001)*	0.002 (0.002)	0.002 (0.002)
tfp_wav_{1t-1}	0.055 (0.008)***	0.056 (0.008)***	0.047 (0.008)***	0.042 (0.009)***	0.036 (0.011)**
tfp_wav_{1t-2}	0.045 (0.007)***	0.045 (0.007)***	0.040 (0.007)***	0.037 (0.007)***	0.035 (0.009)***
tfp_wav_{1t-3}	0.046 (0.006)***	0.046 (0.006)***	0.039 (0.006)***	0.033 (0.007)***	0.029 (0.008)***
tfp_wav_{1t-4}	0.034 (0.006)***	0.031 (0.006)***	0.024 (0.006)***	0.019 (0.007)**	0.017 (0.008)*
tfp_wav_{1t-5}	0.029 (0.005)***	0.030 (0.006)***	0.023 (0.006)***	0.019 (0.006)**	0.017 (0.006)**
tfp_wav_{1t-6}	0.018 (0.004)***	0.024 (0.005)***	0.021 (0.005)***	0.019 (0.005)***	0.017 (0.006)**
tfp_wav_{1t-7}		0.019 (0.005)***	0.017 (0.005)***	0.015 (0.006)**	0.011 (0.007)
tfp_wav_{1t-8}			0.013 (0.004)**	0.016 (0.005)**	0.017 (0.006)**
tfp_wav_{1t-9}				0.010 (0.005)*	0.013 (0.005)*
$\ln(employees)$	0.628 (0.049)***	0.636 (0.053)***	0.582 (0.055)***	0.548 (0.061)***	0.523 (0.073)***
tfp_wav_{1t-10}					0.016 (0.006)**
$\ln(total_assets)$	0.334 (0.054)***	0.325 (0.058)***	0.384 (0.061)***	0.421 (0.067)***	0.448 (0.080)***
tfp_wav_1	0.452 (0.036)***	0.457 (0.038)***	0.420 (0.040)***	0.397 (0.044)***	0.380 (0.052)***
Hansen Test	X (0.097)*	X (0.122)	X (0.450)	X (0.637)	X (0.435)
AR(1) Test	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***	✓ (0.000)***
AR(2) Test	X (0.924)	X (0.962)	X (0.568)	X (0.507)	X (0.450)
i fixed effects	✓	✓	✓	✓	✓
t fixed effects	✓	✓	✓	✓	✓
Observations	307,394	256,016	210,798	171,125	136,527

TABLE XVIII
Dynamic panel: higher-order VAR(2,4) structures

	(1) $\ln(gva_1)$	(2) $\ln(gva_1)$	(3) $\ln(gva_1)$	(4) $\ln(gva_1)$	(5) $\ln(gva_1)$	(6) $\ln(gva_1)$
constant	1.164 (0.573)*	0.498 (1.561)	0.398 (1.667)	1.494 (0.428)***	0.333 (1.469)	1.351 (0.307)***
$\ln(gva_1)_{t-1}$	-0.011 (0.117)	0.081 (0.280)	-0.028 (0.251)	-0.129 (0.081)	0.087 (0.276)	-0.125 (0.063)*
$\ln(gva_1)_{t-2}$	-0.000 (0.003)	0.006 (0.111)	0.076 (0.385)	0.004 (0.002)	-0.001 (0.111)	0.006 (0.002)**
$\ln(gva_1)_{t-3}$		-0.001 (0.005)	0.034 (0.156)		-0.002 (0.004)	
$\ln(gva_1)_{t-4}$			-0.002 (0.004)			
tfp_wav_1	0.551 (0.052)***	0.504 (0.078)***	0.475 (0.201)*	0.525 (0.049)***	0.488 (0.073)***	0.524 (0.050)***
tfp_wav_{1t-1}	0.099 (0.102)	0.005 (0.255)	0.082 (0.217)	0.196 (0.073)**	-0.005 (0.249)	0.189 (0.055)***
tfp_wav_{1t-2}	0.060 (0.011)***	0.036 (0.099)	-0.019 (0.342)	0.072 (0.012)***	0.046 (0.102)	0.070 (0.010)***
tfp_wav_{1t-3}				0.056 (0.009)***	0.039 (0.020)	0.065 (0.008)***
tfp_wav_{1t-4}						0.042 (0.006)***
$\ln(employees)$	0.737 (0.099)***	0.720 (0.146)***	0.643 (0.382)	0.650 (0.075)***	0.705 (0.148)***	0.657 (0.079)***
$\ln(total_assets)$	0.209 (0.088)*	0.253 (0.119)*	0.307 (0.367)	0.272 (0.074)***	0.271 (0.119)*	0.266 (0.079)***
Hansen Test	X (0.971)	X (0.855)	X (0.849)	X (0.999)	X (0.851)	X (0.232)
AR(1) Test	✓ (0.002)***	X (0.124)	X (0.163)	✓ (0.000)***	X (0.111)	✓ (0.000)***
AR(2) Test	X (0.889)	X (0.878)	X (0.775)	X (0.092)*	X (0.837)	✓ (0.030)**
i fixed effects	✓	✓	✓	✓	✓	✓
t fixed effects	✓	✓	✓	✓	✓	✓
Observations	603,058	511,396	433,185	511,396	511,396	433,185